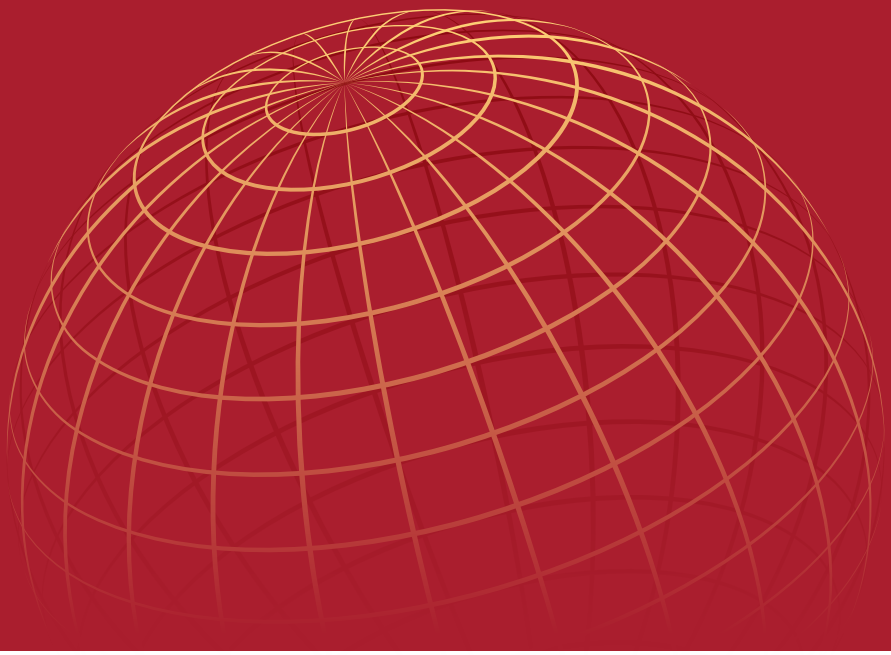


CHAPTER 1

GLOBAL OUTLOOK

The global economy is facing another major shock. The conflict in the Middle East has triggered sharp increases in energy prices, renewed inflationary pressures, and fueled expectations of tighter monetary policy. Global growth is projected to slow from 2.9 percent in 2025 to 2.5 percent in 2026—the lowest rate since the COVID-19 pandemic—amid weaker prospects for economies dependent on energy imports and those directly affected by hostilities. Activity is expected to firm in 2027–28 as energy supplies recover, monetary easing resumes, and trade strengthens. Risks to the outlook remain skewed to the downside. A renewed escalation of hostilities or more prolonged disruptions to commodity flows could further raise commodity prices, intensify inflationary pressures and food insecurity, trigger financial stress, and lower growth. If energy supply disruptions prove to be more severe than assumed and are accompanied by substantial financial stress, global growth could fall to just 1.3 percent in 2026. Persistent trade policy uncertainty, geopolitical strains, and weather-related shocks also pose material risks. On the upside, a broadening of artificial intelligence (AI)-related investment and its adoption could lift activity. Policy action is critical to address ongoing challenges. Enhanced global cooperation is needed to safeguard energy and food security, bolster the trading system, and advance the energy transition. Domestically, policy makers will need to balance controlling inflation with supporting activity, strengthen fiscal sustainability, and maintain financial stability. Slower growth prospects translate into reduced investment, constrained hiring, and tighter fiscal space, compounding the challenge of creating jobs in EMDEs with growing workforces in an era of potentially transformative change linked to AI. Meeting this challenge will require a concerted agenda centered on the conditions for job creation: investing in physical, human, and digital capital; fostering a business-friendly environment; and mobilizing private investment.

Summary

The global economic outlook has shifted markedly as the conflict in the Middle East has generated major disruptions in energy markets. Before the outbreak of the conflict, global activity seemed to be on a firm footing, supported by strong growth in some major economies and better-than-expected global trade, amid robust growth in artificial intelligence (AI)-related technology exports and a slight decline in tariff levels. The conflict, however, has led to a marked deterioration in the global outlook, with about two-thirds of economies around the world facing weaker growth prospects (figure 1.1.A).

Disruptions to flows of energy and other commodity supplies from the Gulf region have led to sharp commodity price increases (figure 1.1.B). Overall, commodity prices are expected to rise by 22 percent in 2026, in contrast to the 7 percent decline expected in January. This reflects a baseline assumption that shipping through the Strait of Hormuz remains severely disrupted through July, with shipping volumes haltingly resuming thereafter, and approaching pre-conflict levels by the end of the year. These disruptions are projected to keep energy prices elevated, with the Brent crude oil price averaging $94/barrel (bbl) in 2026, an increase of 36 percent over 2025 and more than 50 percent above the January projection. European natural gas prices are anticipated to rise about 30 percent in 2026, on tightened liquefied natural gas (LNG) availability globally. The conflict has also severely disrupted global fertilizer trade, triggering sharp price increases that reflect the Gulf's large share of global fertilizer exports and the surge in natural gas prices, a key input for nitrogen fertilizers.

While conflict-related disruptions are weighing on commodity trade flows, an improved trade policy environment and buoyant AI-related investment provide countervailing support to global trade (figure 1.1.C). This is in part attributable to a slight decline in U.S. tariffs following a U.S. Supreme Court ruling that struck down tariffs imposed on international economic emergency grounds, alongside trade liberalization efforts by other countries.

The increase in commodity prices has led to a notable resurgence of inflationary pressures. Headline inflation has picked up in both advanced

Note: This chapter was prepared by Carlos Arteta, Nikita Perevalov, Peter Selcuk, Phil Kenworthy, Jiwon Lee, and Garima Vasishtha, with contributions from Gitanjali Kumar, Neha Varma, Mirco Balatti, and Alen Mulabdic, and inputs from Dawit Mekonnen, Edoardo Palombo, Shijie Shi, Naotaka Sugawara, and Takuma Tanaka.

TABLE 1.1 Real GDP [1]

(Percent change from previous year unless indicated otherwise)

	2023	2024	2025e	2026f	2027f	2028f	Percentage-point differences from January 2026 projections 2026f	2027f
World	**2.8**	**2.9**	**2.9**	**2.5**	**2.8**	**2.8**	**-0.1**	**0.1**
Advanced economies	**1.6**	**1.8**	**1.8**	**1.5**	**1.8**	**1.7**	**-0.1**	**0.2**
United States	2.9	2.8	2.1	2.2	2.1	2.0	0.0	0.2
Euro area	0.5	1.0	1.4	0.8	1.3	1.3	-0.1	0.1
Japan	0.7	-0.2	1.1	0.7	0.9	0.8	-0.1	0.1
Emerging market and developing economies	**4.3**	**4.4**	**4.4**	**3.6**	**4.2**	**4.1**	**-0.4**	**0.1**
East Asia and Pacific	5.2	5.0	5.0	4.2	4.4	4.3	-0.2	0.1
China	5.4	5.0	5.0	4.2	4.3	4.2	-0.2	0.1
Indonesia	5.0	5.0	5.1	5.0	5.2	5.2	0.0	0.0
Thailand	2.2	2.9	2.4	1.7	2.1	2.4	-0.1	-0.4
Europe and Central Asia	3.6	3.9	2.5	2.1	2.3	2.6	-0.3	-0.4
Russian Federation	4.1	4.9	1.0	0.8	0.7	0.7	0.0	-0.3
Türkiye	5.0	3.3	3.6	2.8	3.7	4.3	-0.9	-0.7
Poland	0.2	3.2	3.6	3.1	2.6	2.9	-0.1	-0.3
Latin America and the Caribbean	2.3	2.3	2.3	2.2	2.5	2.6	-0.1	-0.1
Brazil	3.2	3.4	2.3	1.9	2.0	2.2	-0.1	-0.3
Mexico	3.1	1.4	0.6	1.3	1.7	1.9	0.0	-0.1
Argentina	-1.9	-1.3	4.4	3.6	3.7	3.5	-0.4	-0.3
Middle East, North Africa, Afghanistan, and Pakistan	2.0	2.9	4.0	1.6	5.0	4.0	-2.7	0.7
Saudi Arabia	0.5	2.6	4.5	3.1	4.9	3.7	-1.2	0.5
United Arab Emirates	4.3	6.6	6.2	2.4	4.1	4.2	-2.6	-1.0
Egypt, Arab Rep. [2]	3.8	2.4	4.4	4.6	4.0	4.6	0.3	-0.8
South Asia	6.6	6.8	7.0	6.3	6.9	7.1	0.1	0.4
India [2]	7.2	7.1	7.7	6.6	7.2	7.0	0.1	0.6
Bangladesh [2]	5.8	4.2	3.5	3.8	4.6	5.5	-0.8	-1.5
Sri Lanka	-2.0	5.0	5.0	3.6	3.8	3.9	0.1	0.7
Sub-Saharan Africa	3.0	3.8	4.1	4.0	4.4	4.5	-0.3	-0.1
Nigeria	3.3	4.1	4.0	4.1	4.2	4.3	-0.3	-0.2
South Africa	0.8	0.5	1.1	1.0	1.5	1.7	-0.4	0.0
Ethiopia [2]	7.2	8.1	9.2	8.0	6.9	8.4	0.9	-0.8
Memorandum items:								
Real GDP [1]								
High-income countries	1.7	1.9	1.9	1.5	1.9	1.8	-0.2	0.1
Middle-income countries	4.7	4.5	4.6	3.9	4.3	4.3	-0.3	0.0
Low-income countries	1.2	3.7	5.0	5.4	5.6	5.4	-0.3	0.0
EMDEs excluding China	3.6	4.0	3.9	3.2	4.1	4.1	-0.6	0.1
Commodity-exporting EMDEs	2.9	3.5	3.3	2.4	3.5	3.3	-0.9	0.1
Commodity-importing EMDEs	5.0	4.8	4.8	4.2	4.5	4.5	-0.2	0.1
Commodity-importing EMDEs excluding China	4.3	4.5	4.5	4.1	4.7	5.0	-0.2	0.0
EM7	5.2	4.9	4.6	3.9	4.2	4.2	-0.2	0.1
World (PPP weights) [3]	3.2	3.4	3.5	2.9	3.4	3.4	-0.3	0.1
World trade volume [4]	**0.4**	**3.8**	**4.8**	**2.9**	**3.3**	**3.1**	**0.7**	**0.6**
							Level differences from January 2026 projections	
Commodity prices [5]								
WBG commodity price index	108.0	105.1	98.4	119.8	104.5	96.4	28.9	10.4
Energy index	106.9	101.5	90.0	119.6	98.4	85.9	39.7	13.5
Oil (US$ per barrel)	82.6	80.7	69.0	94.0	76.0	65.0	34.0	11.0
Non-energy index	110.2	112.5	115.4	120.2	116.7	117.7	7.1	4.0

Source: World Bank.

Note: e = estimate; f = forecast. EM7 = Brazil, China, India, Indonesia, Mexico, the Russian Federation, and Türkiye; WBG = World Bank Group. World Bank forecasts are frequently updated based on new information. Consequently, projections presented here may differ from those contained in other World Bank documents, even if basic assessments of countries' prospects do not differ at any given date. For the definition of EMDEs, developing countries, commodity exporters, and commodity importers, please refer to table 1.2. The World Bank is currently not publishing economic output, income, or growth data for República Bolivariana de Venezuela owing to lack of reliable data of adequate quality. República Bolivariana de Venezuela is excluded from cross-country macroeconomic aggregates.

1. Headline aggregate growth rates are calculated using GDP weights at average 2010-19 prices and market exchange rates.

2. GDP growth rates are on a fiscal year (FY) basis. Aggregates that include these countries are calculated using data compiled on a calendar year basis. For India, the column for 2023 refers to FY2023/24. For Bangladesh, and the Arab Republic of Egypt, and Ethiopia, the column for 2023 refers to FY2022/23.

3. World growth rates are calculated using average 2010-19 purchasing power parity (PPP) weights, which attribute a greater share of global GDP to emerging market and developing economies (EMDEs) than market exchange rates.

4. World trade volume of goods and nonfactor services.

5. Indexes are expressed in nominal U.S. dollars (2010 = 100). Oil refers to the Brent crude oil benchmark. For weights and composition of indexes, refer to https://worldbank.org/commodities.

economies and emerging market and developing economies (EMDEs), though the impact was attenuated somewhat by the introduction of fuel subsidies and price caps in some economies. In addition, core inflation has firmed across many EMDEs and in some large economies. As a result, headline inflation expectations have risen broadly (figure 1.1.D).

The sharp escalation in geopolitical stress also resulted in elevated volatility across financial markets. Concerns about inflationary pressures have pushed up bond yields as well as breakeven rates of inflation in major advanced economies, and expectations of near-term monetary policy easing have dissipated. In addition, equity markets weakened in the initial weeks of the conflict but many have mostly recovered following the cease-fire, largely as a result of AI optimism. Across EMDEs, equity prices declined, bond yields increased, and currencies came under pressure amid capital outflows, with only a partial recovery for some commodity importers after hostilities eased (figure 1.1.E). In contrast, financial conditions in energy-exporting EMDEs outside the Middle East, and other EMDEs with improved policy frameworks and substantial buffers, have recovered more quickly.

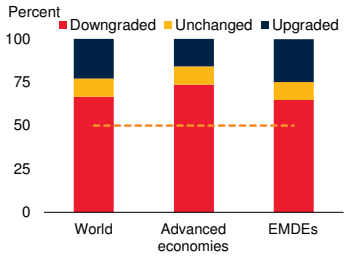
In this context, global growth is forecast to slow this year to 2.5 percent, the lowest rate since the COVID-19 pandemic, as higher energy prices, rising inflation, tighter monetary conditions, and weaker trade weigh on activity. The expected deceleration is driven by slowing growth in advanced economies and EMDEs reliant on imported energy, as well as sharply weaker exports in economies in the Middle East directly exposed to the conflict (figure 1.1.F). Global growth is envisaged to pick up to 2.8 percent on average in 2027–28 as energy prices moderate, financial conditions ease, and trade recovers.

Growth in advanced economies is forecast to slow this year, to 1.5 percent, from 1.8 percent in 2025, mainly due to the impact of substantially higher energy prices. The United States—a large oil producer—is proving resilient to the disruptions in global energy markets, with the adverse impacts of the conflict expected to be offset by fiscal easing and continued AI-related investment.

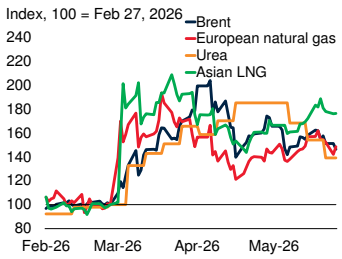
FIGURE 1.1 Global economic prospects

Global growth is expected to slow in 2026, with growth downgraded relative to January in nearly two-thirds of economies. This mainly reflects sharp disruptions in key commodity markets caused by the conflict in the Middle East. The conflict's impact on global trade has partly been offset by robust AI-related investment. Consensus inflation expectations picked up notably following the surge in energy prices. Local-currency bond yields and external bond spreads remained higher in commodity importers, reflecting more adverse impacts of the conflict. Against this backdrop, global growth is forecast to decelerate to 2.5 percent in 2026, down from 2.9 percent in 2025, with notably weaker prospects in EMDEs.

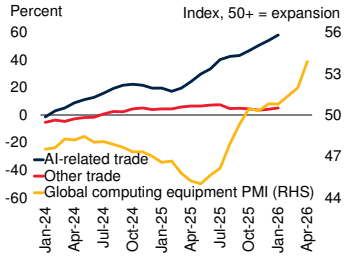
A. Share of economies by 2026 forecast revision relative to January



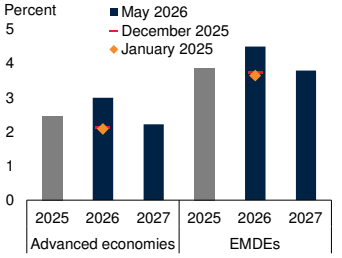
B. Energy and fertilizer prices



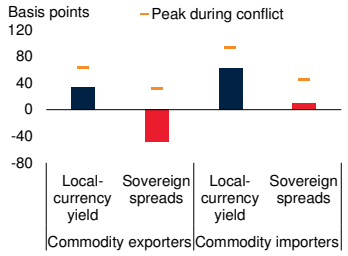
C. AI-related trade and global computing equipment PMI



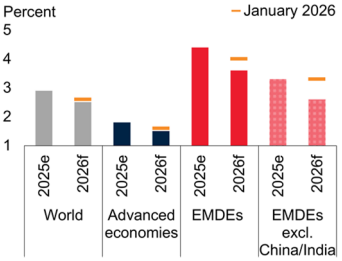
D. Consensus expectations for inflation



E. Change in EMDE local-currency bond yields and sovereign bond spreads



F. Growth by country group relative to January



Sources: Bloomberg; Consensus Economics; Haver Analytics; J.P. Morgan; UN Comtrade; World Bank.

Note: e = estimate; f = forecast. AI = artificial intelligence; EMDEs = emerging market and developing economies; excl. = excluding; LNG = liquefied natural gas; PMI = purchasing managers' index (readings above/below 50 indicate expansion/contraction); RHS = right-hand scale. Aggregates use real U.S. dollar GDP weights at average 2010-19 prices and market exchange rates.

A. The share of economies by group and type of forecast revision in the current edition of the *Global Economic Prospects* report compared to the January 2026 report. The dashed line shows 50 percent.

B. Daily prices for Brent spot, European natural gas, and weekly prices of urea, indexed to 100 on February 27, the last market day before the onset of the Middle East conflict. Last observation is May 29, 2026.

C. Five-month averages of (1) year-on-year growth in nominal global goods imports, and (2) PMI for global computing equipment. AI-related trade includes 13 HS 6-digit product codes. Last observation is January 2026 (trade) and April 2026 (PMI). Sample includes 48 countries.

D. Median headline consumer price index inflation expectations for 35 advanced economies and up to 53 EMDEs from Consensus Economics surveys.

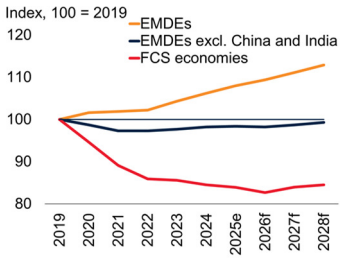
E. Changes in average local-currency bond yields and foreign-currency sovereign bond spreads across 20 and 63 EMDEs, respectively, before (January 2–February 26) and after (February 27–June 2) the start of the conflict this year.

F. Projected annual GDP growth by group from the current (bars) and January 2026 (yellow) editions of the *Global Economic Prospects* report.

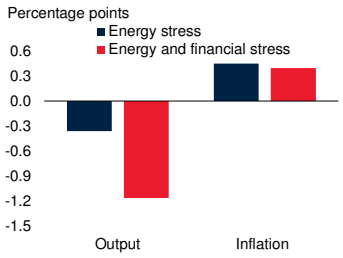
FIGURE 1.2 Global risks and policy challenges

EMDEs excluding China and India are facing almost a full decade of lost convergence with advanced economy income levels. A further surge in energy prices, especially if exacerbated by financial market stress, could further reduce growth and raise inflation this year. On the upside, higher productivity related to AI adoption could raise trend global growth. Policymakers need to take coordinated efforts to mitigate the threat of a rise in food insecurity in the context of the conflict in the Middle East. Rising EMDE government debt levels may push up interest rates, diverting resources away from development priorities. Domestically, the implementation of structural reforms could substantially boost private investment.

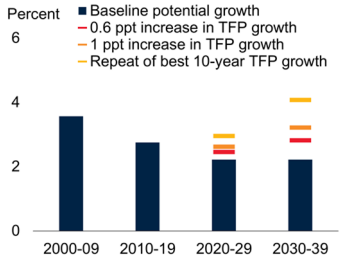
A. Level of per capita GDP as a share of advanced economies



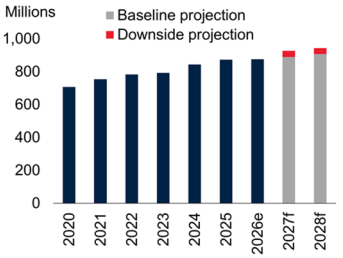
B. Change in global inflation and output in alternative scenarios in 2026



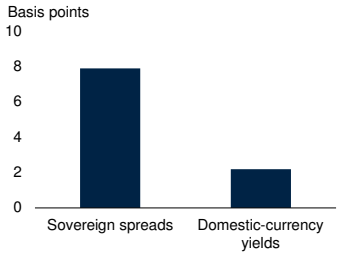
C. Global potential growth scenarios



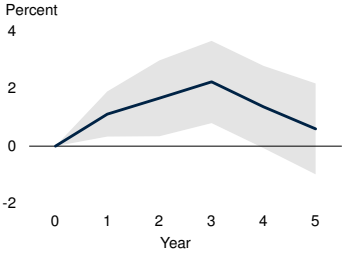
D. Number of people experiencing severe food insecurity



E. Impact of rising government debt on interest rates



F. Impact of major structural reforms on private investment in EMDEs



Sources: Adarov (2025); Kose and Ohnsorge (2024); Oxford Economics; UN World Population Prospects (database); World Bank; World Food Security Outlook (database).

Note: e = estimate; f = forecast. AI = artificial intelligence; EMDEs = emerging market and developing economies; excl. = excluding; FCS = fragile and conflict-affected situations; TFP = total factor productivity. The FCS country group is based on current World Bank FCS classification.

A. Lines show per capita GDP by country groups as a share of advanced economies', indexed to 2019 = 100. GDP per capita is aggregated GDP (weighted by real U.S. dollar GDP at average 2010–19 prices and market exchange rates) divided by the respective population.

B. Panel shows the deviation of aggregate inflation and output in scenarios produced using Oxford Economics' Global Economic Model.

C. Averages, weighted by gross domestic product (GDP), of production function-based estimates of potential growth. Sample includes 31 advanced economies and 52 EMDEs. Markers show the predicted impact of each scenario on global potential growth.

D. Population facing severe food insecurity (blue bars). Gray (gray plus red) bars show the World Food Security Outlook's April 2026 baseline (downside) projection for 152 EMDEs excluding China.

E. Panel shows the estimated effect on interest rates of a one-percentage-point rise in the government debt-to-GDP ratio, based on a linear panel data regression.

F. Line shows the cumulative increase in private investment following reforms to domestic and external financing, trade, and product market. Gray shading shows 90 percent confidence bands.

Growth in the euro area is projected to face somewhat greater headwinds due to the region's reliance on natural gas and oil imports, but nevertheless the outlook remains only slightly weaker than January forecasts following better-than-anticipated data in late 2025 and a solid start to 2026. Growth in advanced economies is expected to edge up to 1.7 percent in 2027–28 as energy prices decline, inflation pressures subside, monetary conditions ease, and uncertainty recedes.

Growth in EMDEs is anticipated to decelerate to 3.6 percent in 2026—0.4 percentage point below January projections. The expected near-term deceleration across EMDEs depends on their degree of exposure to the conflict and its associated disruptions, with growth in those economies directly affected by hostilities tumbling from 3.9 percent in 2025 to close to zero in 2026. Over 2027–28, lower energy prices, renewed monetary easing, and a recovery in trade are envisaged to underpin a broad-based pickup in activity, with growth rebounding to 4.2 percent over 2027–28. The outlook for low-income countries (LICs) has also deteriorated notably, with the conflict amplifying pre-existing vulnerabilities, including food insecurity, elevated inflation, constrained fiscal space, and weak policy buffers. In addition, beyond the human toll, the recent Ebola outbreak may weigh on activity in some large LIC economies.

In per capita terms, growth in EMDEs in 2026 is projected to slow to its weakest pace since the pandemic, with the conflict and lingering disruptions impacting EMDEs to varying degrees. In EMDEs excluding China and India, subdued per capita income growth is expected to lead to nearly a decade of lost income convergence with advanced economies by 2028 (figure 1.2.A). Weaker growth prospects, combined with constrained fiscal space and declining official development assistance (ODA), are stripping away critical buffers for the most vulnerable countries, widening existing development gaps and exacerbating food insecurity and poverty, especially in LICs and economies in fragile and conflict-affected situations (FCS).

The outlook is subject to substantial downside risks. In particular, a further surge in energy prices and a sharper acceleration in inflation could weigh on global growth, with the impact potentially amplified by financial market stress. Specifically, if energy supply disruptions prove more severe than currently assumed and are accompanied by substantial financial stress, global growth could fall to just 1.3 percent in 2026, and inflation would rise to 4.4 percent (figure 1.2.B).

Growth could also be weaker if trade tensions and trade policy uncertainty escalate, or if global financial conditions tighten in response to rising inflationary pressures or heightened fiscal concerns in major economies, or if equity market valuations decline, especially in the technology sector. In addition, activity could be disrupted by the rising frequency of weather related natural disasters with worsening economic impacts.

On the upside, increased spending on AI-related investment that broadens across geographies and lifts exports of countries embedded in AI supply chains could boost global growth in the short run. In the longer term, higher productivity related to effective AI adoption could raise trend global growth, including through the adoption of small-AI solutions in EMDEs (box 1.1; figure 1.2.C).

Global policy action is essential to confront continued challenges. The conflict in the Middle East is likely to exacerbate food insecurity, warranting coordinated global action to bolster emergency food aid mechanisms and establish humanitarian corridors to prevent further deterioration (figure 1.2.D). Global cooperation is also needed to bolster multilateral trading arrangements, deepen and diversify trade partnerships, and modernize cross-border investment frameworks, alongside efforts to enhance supply chain finance to ease liquidity constraints and reduce nontariff barriers within regional value chains. Additionally, accelerating the energy transition is key to addressing environmental and energy security challenges. Clean energy investment has risen significantly, but its rate of growth has slowed in recent years.

At the national level, EMDE central banks will need to carefully calibrate their policy stance to guard against inflation becoming entrenched while limiting the drag on growth, alongside heightening vigilance to financial stability risks amid renewed market volatility and shifts in risk appetite. EMDE fiscal policy makers face mounting challenges as elevated debt and borrowing costs, along with new pressures—including those related to spending on security needs and higher energy prices—are increasingly constraining fiscal space. In particular, rising debt burdens increase borrowing costs and further erode fiscal space (chapter 3; figure 1.2.E). This in turn constrains resources for infrastructure, public services, and other investments needed to support private sector growth and job creation. Lower and more volatile revenues, sharp commodity price swings, and limited buffer accumulation during good times create especially difficult fiscal policy challenges for commodity-exporting EMDEs (chapter 4). Weak revenue mobilization, particularly in LICs, where refinancing risks and interest burdens have increased, is adding to debt sustainability concerns.

EMDEs face a major jobs challenge as 1.2 billion young people are expected to reach working age by 2035. The jobs imperative cuts across the broader policy agenda, particularly at a time when the global economy finds itself at another difficult juncture. Headwinds stemming from conflict-related disruptions, higher borrowing costs, heightened uncertainty, and constrained fiscal space, will have a direct bearing on EMDEs' ability to increase investment and productivity in job-rich sectors and create employment. These challenges come as the effects of generative AI technologies on labor markets are still unfolding and likely to be uneven across EMDEs.

In response, policy action must be calibrated not only to stabilize the near-term outlook, but also to lay the structural foundations for sustained growth. EMDEs can tackle these challenges through a steadfast commitment to the fundamentals of long-term growth and job creation: greater food and energy security, better foundational infrastructure, practical diffusion of technology, and openness to trade and diversification, all underpinned by fiscal discipline, strong institutions, enabling regulation, investment in human

BOX 1.1 How much will AI affect global growth?

Artificial intelligence (AI) has emerged as a potential catalyst for economic growth at a time when the global economy is experiencing a structural slowdown. In the near term, AI is likely to boost growth mainly through higher investment, especially in advanced economies. Over the medium term, however, its most important contribution would come from faster productivity growth. Yet estimates of the productivity impact of AI vary widely, from modest gains to transformative effects. Illustrative scenarios suggest that these differences could lead to markedly different growth paths. Under optimistic assumptions about AI's productivity effects, growth in the 2030s could exceed the average recorded in the 2000s, making the decade the strongest period of global growth since the 1970s. Under less optimistic assumptions, however, the gains would be considerably smaller. The growth benefits of AI are also likely to vary across countries, depending on digital infrastructure, human capital, regulatory frameworks, and the speed and breadth of adoption. They may also play out differently in advanced economies and emerging market and developing economies. Ultimately, the extent to which AI reshapes global growth will depend on the scale and persistence of the productivity improvements it generates and on whether countries can build the conditions needed to capture them.

The impact of artificial intelligence (AI) on economic growth has become one of the central economic debates of our time. At stake is not only the future trajectory of growth, but also outcomes for labor and product markets and income distribution within and across countries. The debate also has important financial and macroeconomic implications: expectations of large growth gains have already fueled investment in AI-related sectors in several economies and pushed valuations of AI linked firms to record highs, raising concerns about an equity bubble. At the same time, emerging market and developing economies (EMDEs) that cannot adopt AI widely risk falling further behind.

The debate about the economic effects of AI comes at a time when potential growth—the maximum sustainable rate of expansion without generating inflationary pressures—has been slowing for more than two decades. If the trends of the past two decades persist, global potential growth is expected to fall to a three-decade low in the 2020s. It has already declined from 3.6 percent per year in the 2000s to 2.8 percent in the 2010s and is projected to fall further to about 2.2 percent this decade (figure B1.1.1.A; Kose and Ohnsorge 2024).

The slowdown is even more pronounced in EMDEs where potential growth is expected to fall from 5.9 percent in 2000–09 to 4.1 percent in 2020–29. It has also been broad-based: during the 2010s, potential growth declined in 54 percent of EMDEs, accounting for 76 percent of total EMDE GDP (figure B1.1.1.B). The slowdown reflects weakening contributions from the main drivers of growth, including total factor productivity (TFP), investment, and labor force expansion (Adarov 2025; Dieppe 2021).

This is why much of the debate centers on whether AI can meaningfully raise economy-wide productivity growth over the next decade and beyond. The structural decline in TFP growth has played a major role in weakening potential growth, accounting for more than 40 percent of the slowdown. Global productivity growth fell from about 1.4 percent per year in the 2000s to 1.1 percent in the 2010s and, absent a major technological shift, is expected to average about 0.8 percent this decade (figure B1.1.1.C). If AI generates sustained productivity gains, it could alter the trajectory of global growth and materially improve long-term income and welfare outcomes.

Drawing on the rapidly growing literature on the impact of AI on productivity and illustrative scenarios, this box addresses three questions: (1) How large could AI's impact on productivity growth be? (2) Could AI reverse the slowdown in global potential growth? (3) What will determine whether countries can capture the benefits of AI?

From task-level gains to economy-wide productivity

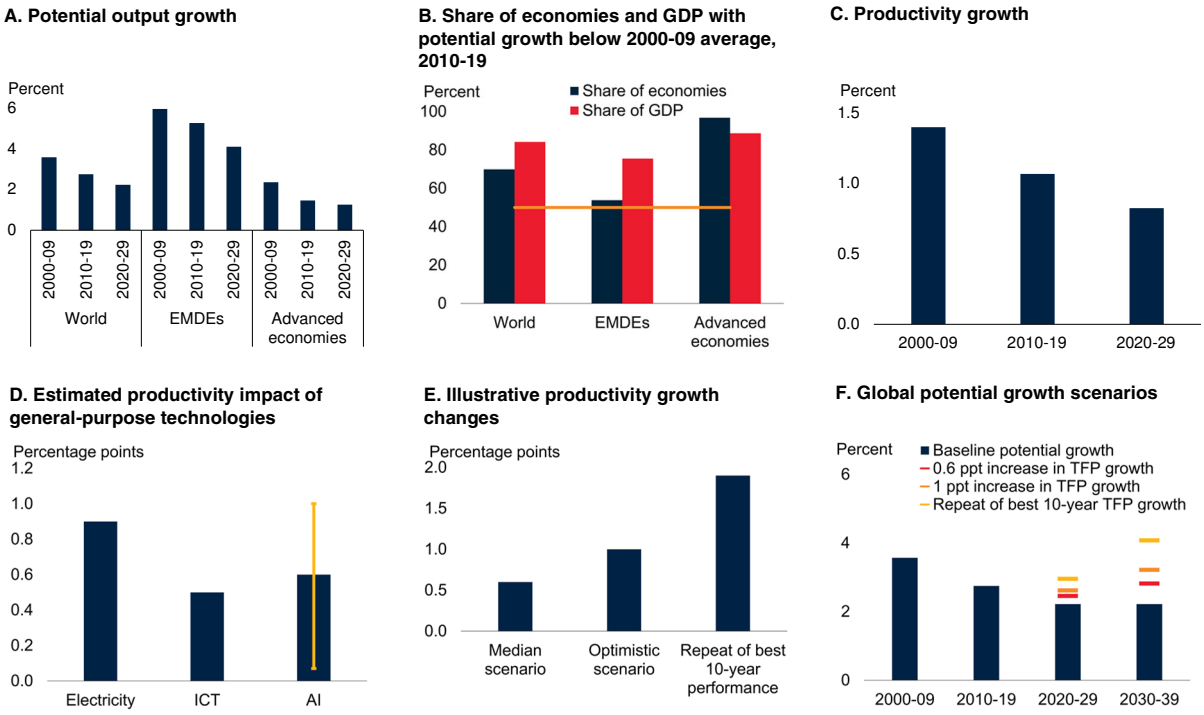
Estimating the impact of AI on aggregate productivity depends on several key assumptions: the share of tasks exposed to AI, the productivity gains in those tasks, their value-added share in the economy, the speed and breadth of adoption, and whether AI generates a one-time improvement or sustained productivity growth. Differences in these assumptions explain much of the wide divergence in estimates.

Note: This box was prepared by M. Ayhan Kose and Kersten Stamm.

BOX 1.1 How much will AI affect global growth? (*continued*)

FIGURE B1.1.1 AI, productivity, and potential growth

The global economy has been experiencing a prolonged and broad-based slowdown in potential growth, which is expected to continue. This slowdown reflects weakness across all major drivers of growth, including TFP. AI could become a catalyst for faster productivity growth, but its impact remains highly uncertain. Moreover, economies that lack the physical, digital, and institutional foundations needed to benefit from AI risk being left behind. An illustrative scenario shows that AI-driven productivity gains could significantly alter global growth trajectories.



Sources : Aghion and Bunel (2024); Kose and Ohnsorge (2024); UN World Population Prospects (database); World Bank.
Note: AI = artificial intelligence; EMDEs = emerging market and developing economies; ICT = information and communications technologies; TFP = total factor productivity. "Productivity" refers to TFP. Data for 2022 and later years are projections.
A.C.F. Averages, weighted by gross domestic product (GDP), of production function-based estimates of potential growth. Sample includes 31 advanced economies and 52 EMDEs.
B. Number of economies with potential growth in 2010-19 below their 2000–09 average and their share of global or group GDP. Horizontal line indicates 50 percent. Sample includes 31 advanced economies and 52 EMDEs for 2000–19.
C. Bars show GDP-weighted averages of estimated, potential TFP growth, by decade.
D. Bars show the impact of the electricity and ICT revolutions on productivity growth in Europe and the U.S., respectively, taken from Aghion and Bunel (2024). Labor productivity estimates were converted to TFP estimates assuming a capital share of one-third. For the impact of AI, the bar shows the median impact estimated in the literature for the United States, and the whisker shows the range of estimates. The impacts for the electricity and ICT revolutions apply to a period of 12 years each. The estimated impact of AI generally spans a period of 10 years in the literature.
E. Bars show global TFP growth increase in each scenario.
F. Markers show the predicted impact of each scenario on global potential growth.

Most studies focus on the United States and other advanced economies, with limited analysis of EMDEs. This gap is important because the potential growth implications of AI may differ substantially in economies with weaker digital infrastructure and skills, and lower exposure of jobs to AI. These economies may also have more limited scope to adopt existing AI solutions without significant customization, particularly those trained on English-language data sets in advanced economies (World Bank 2025a).

Evidence of AI's productivity effects is most directly observed at the task level, where findings remain mixed. AI appears to raise productivity in many information-

BOX 1.1 How much will AI affect global growth? (*continued*)

processing and cognitive tasks, with some estimates suggesting gains of 50 percent or more. It may also benefit less experienced or lower-performing workers in some occupations, narrowing performance gaps (Appel et al. 2026; Imas 2026). This evidence is not limited to workers in advanced economies. For example, customer-support agents with access to AI assistance in the Philippines increased their productivity by 15 percent, on average (Brynjolfsson, Li, and Raymond 2025).

However, adoption remains concentrated among highly educated white-collar professionals, particularly managers and knowledge workers. In some cases, expert users see limited or even negative productivity effects. These findings suggest that gains vary widely across occupations and depend critically on how AI is integrated into workflows.

Translating task-level improvements into economy-wide productivity gains depends on the extent of adoption across firms and the share of tasks that can benefit from AI. While some firms may realize efficiency gains quickly, broader sector-wide effects depend on organizational change, skill adaptation, complementary investment, and supportive regulation. Without these adjustments, aggregate productivity gains may remain modest even if task-level improvements are substantial.

As a result, estimates of AI's productivity impact span a wide range (figure B1.1.1.D). Most U.S.-based studies assume a one-time boost to productivity that unfolds over roughly a decade. Optimistic estimates suggest that productivity growth could rise by about 1 percentage point per year, assuming continued improvements in AI capabilities, broad adoption across firms, and widespread benefits for workers (Briggs and Kodnani 2023). The most transformative projections also emphasize AI's potential to spur innovation by accelerating scientific discovery and process improvements (Baily, Brynjolfsson, and Korinek 2023). More cautious assessments argue that automating complex tasks will prove difficult and estimate gains of only about 0.07 percentage point per year (Acemoglu 2025).

History can also offer a guide to what to expect from the emergence of a new general-purpose technology, such as electricity and the dynamo in the 1920s, or information and communications technology (ICT) in the 1990s and 2000s. In Europe, electrification eventually may have added around 0.9 percentage point to annual productivity growth once widely adopted, although the transition took decades because factories had to be redesigned and complementary infrastructure installed. By contrast, the ICT revolution diffused more rapidly and contributed about 0.5 percentage point to annual productivity growth (Aghion and Bunel 2024).

Illustrative growth scenarios

Given the wide range of productivity estimates, the impact of AI on economic growth remains highly uncertain (Cunningham 2025). Using the productivity estimates above, illustrative scenarios show how AI could affect potential growth over the next decade through the productivity channel. For transparency and analytical clarity, these scenarios use a standard production function framework in which changes in TFP are directly reflected in output (Kose and Ohnsorge 2024). This simple exercise abstracts from adoption dynamics, cross-country spillovers, investment needs, labor market adjustments, and broader demand and supply responses, which could either amplify or dampen the effects of AI on potential growth.

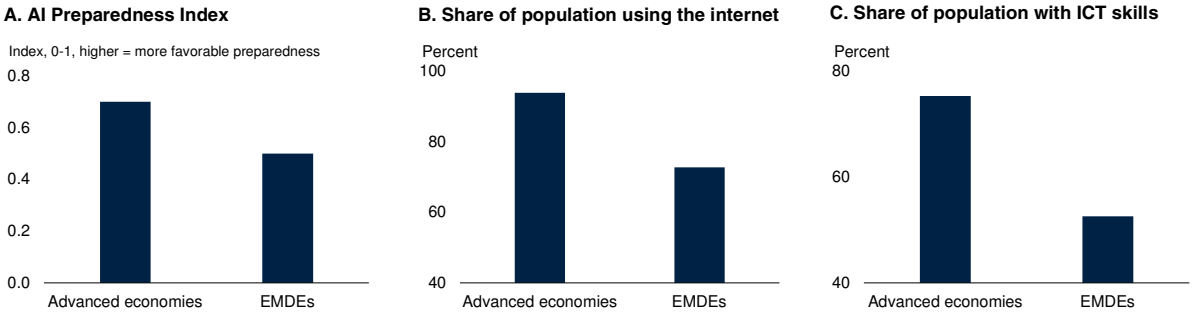
In the baseline scenario, global productivity growth averages about 0.8 percent per year in the 2020s and 2030s, reflecting the slowdown observed since the 2000s. Relative to this baseline, three illustrative scenarios assume progressively stronger AI effects beginning in 2026 and continuing through 2039 (figure B1.1.1.E). The first scenario assumes a 0.6 percentage point annual increase in productivity growth, corresponding to the midpoint of estimates in the literature. The second assumes a 1 percentage point increase, reflecting more optimistic projections. The third assumes that widespread AI adoption leads to a transformative repeat of the historically strongest 10-year productivity growth rate observed across economies, implying global productivity growth of about 2.7 percent per year. These scenarios apply common productivity assumptions across country groups and therefore should be interpreted as illustrative upper-bound exercises.

These scenarios suggest that AI-driven productivity gains could significantly alter global growth trajectories, although outcomes vary widely (figure B1.1.1.F). Under the transformative scenario, the slowdown in global potential growth could be reversed: growth in the 2030s would exceed the average recorded in the 2000s, making the decade the strongest period of global growth

BOX 1.1 How much will AI affect global growth? (*continued*)

FIGURE B1.1.2 An enabling environment for AI

Countries lacking an AI-enabling ecosystem risk falling further behind in reaping the benefits of AI. AI preparedness, a measure that captures physical and digital infrastructure, human capital, and the regulatory and institutional environment, is much lower in EMDEs than in advanced economies. The impact of AI on employment will also depend on ICT-related human capital. In EMDEs, the share of individuals using the internet or with above-basic ICT skills is lower than in advanced economies.



Sources: Cazzaniga et al. (2024); ITU DataHub (database); World Bank.
Note: AI = artificial intelligence; EMDEs = emerging market and developing economies; ICT = information and communications technologies.
A. Panel shows scores on the AI Preparedness Index (AIPI) as of 2023 by Cazzaniga et al. (2024), covering 174 economies. Higher values represent more favorable AI preparedness. Country groups are as defined by the International Monetary Fund and aggregated using averages.
B. Bars show the median share of individuals using the internet in advanced economies and EMDEs. Sample includes 37 advanced economies and 154 EMDEs using the latest available data for each economy.
C. Bars show the median share of individuals with above-basic ICT skills in advanced economies and EMDEs. Sample includes 21 advanced economies and 16 EMDEs using the latest available data for each economy. Above-basic ICT skill level is defined as an individual having done more than one of a list of ICT-related activities in the past three months.

since the 1970s, driven largely by gains in advanced economies. The least optimistic scenario would also raise growth in this decade and the next, but would fall short of returning growth to its 2000s average.

These global growth scenarios mask substantial heterogeneity across country groups and assume similar productivity gains in EMDEs and advanced economies. This assumption is especially optimistic for EMDEs. Their slowdown in potential growth has been more pronounced than in advanced economies, and their ability to adopt and benefit from AI may be more limited without significant policy intervention. As a result, a return to previous growth rates would be an inherently more ambitious outcome for these economies.

Capturing the benefits of AI

Understanding how countries at different levels of development can prepare for and harness AI is a critical priority. Countries lacking digital infrastructure, human capital, or supportive regulatory frameworks risk falling further behind in reaping the benefits of AI. AI preparedness, a measure that captures physical and digital infrastructure, human capital, and the regulatory and institutional environment, is much lower in EMDEs than in advanced economies (figure B1.1.2.A; Cazzaniga et al. 2024). Few studies estimate the impact of AI on productivity growth in EMDEs, but those that do generally find that productivity gains will be much lower in these economies than in advanced economies (Briggs and Kodnani 2023; Cerutti et al. 2025).

Effective use of AI also relies on an enabling ecosystem. Yet, as of mid-2025, EMDEs accounted for less than one-quarter of global data center capacity. The share in low-income countries (LICs) was less than 0.1 percent. Similarly, middle-income countries account for 40 percent of global ChatGPT usage whereas LICs account for less than 1 percent (World Bank 2025a). As of 2022, only one in four individuals in LICs used the internet, and the share of internet users is much lower in EMDEs than in advanced economies (figure B1.1.2.B; World Bank 2024a, 2026a).

Harnessing the benefits of AI in EMDEs will also require AI ecosystems and solutions that differ from those

BOX 1.1 How much will AI affect global growth? (*continued*)

in advanced economies. Beyond digital infrastructure and human capital, localized AI solutions require training data that reflect country circumstances and local languages, models that are accessible on mobile devices and can operate with limited connectivity, and a vibrant start-up sector that can adapt existing models to new use cases (World Bank 2025a). One example is "small AI": solutions that prioritize efficiency and localized autonomy, and do not require the same up-front investment as the leading frontier models (Kim and Qiang 2025). Such solutions could help smallholder farmers identify crop diseases and time fertilizer applications through chat apps, deliver customized tutoring to students, or support health care in remote areas.

Even with more localized solutions, the diffusion of AI remains highly uncertain. Less than one-fifth of firms in the United States are using AI, and estimates of the productivity gains of AI are thus based on early-adopter firms and may not generalize broadly (Kolko 2026). There is a large gap across studies about the share of tasks that will become more productive with AI, a combination of exposure to AI and the successful adoption of AI for these tasks. For the United States, estimates of this share in studies range from 5 percent to 15 percent. For EMDEs, this share is likely lower than in advanced economies (Acemoglu 2025; Briggs and Kodnani 2023; Cazzaniga et al. 2024).

Managing risks and labor-market transitions

Even if AI raises productivity in some tasks, aggregate gains may be constrained if large parts of the economy remain difficult to automate. As AI lowers the relative cost of rapidly improving sectors, a growing share of spending and employment may shift toward non-automated sectors where productivity growth is slower and relative costs rise, a phenomenon known as Baumol's growth disease (Aghion, Jones, and Jones 2017; Filippucci et al. 2025).

Beyond productivity growth, AI could reshape labor markets and income distributions within and across countries. The scope of disruption and opportunity differs sharply by level of development: about 60 percent of jobs in advanced economies are exposed to AI, compared with 40 percent in EMDEs and just 26 percent in LICs (Cazzaniga et al. 2024). Historical evidence suggests that, with the right policies, labor-augmenting technologies can raise labor demand even as automation displaces certain tasks (Autor et al. 2024). Early evidence that combines the share of tasks that could see a boost in productivity from AI with observed AI utilization for these tasks indicates that AI exposure may slow hiring in some entry-level positions, while the potential productivity gains from AI appear to rise along the income distribution (Massenkoff and McCrory 2026).

The employment impact of AI also depends on labor supply constraints. Job vacancies for workers with AI skills are rising faster in EMDEs than in advanced economies yet only a small share of workers in EMDEs have above-basic digital skills (figure B1.1.2.C; World Bank 2025a). The net impact on employment, wages, and inequality remains uncertain and will depend on how quickly workers acquire new skills, how easily they move across tasks and occupations, and how effectively policies support the transition. Beyond direct employment effects, workers may also benefit from AI through better matching in the labor market, improved market access for entrepreneurs, and more effective government services (Nayyar et al. 2024).

For EMDEs, the policy priority is therefore not only to expand digital infrastructure, but also to build complementary capabilities: digital skills, adaptable regulatory frameworks, local data ecosystems, competitive start-up environments, and social protection systems that help workers adjust.

Looking forward

AI could offer a path to reversing the prolonged slowdown in global growth, but only if productivity gains are large, persistent, and widely diffused. At this pivotal moment, policy and investment choices will determine whether it becomes a broad-based driver of growth or a narrowly concentrated efficiency tool. Capitalizing on AI's potential will require careful policy choices and planning—including those around innovation, regulation, data privacy, and digital infrastructure—that evolve with technological advances and shape the employment effects of structural change (World Bank 2024b). If AI becomes a transformative general-purpose technology, historical experience suggests that its broader economic effects are likely to unfold gradually, and projections of AI-driven growth should therefore be interpreted with caution.

BOX 1.1 How much will AI affect global growth? (*continued*)

The brief analysis in this box also shows that several areas require further research to better understand AI's long-term economic impact. A key question is how micro-level productivity gains translate into macroeconomic outcomes through diffusion, complementary investments, general equilibrium effects, and AI-driven innovation in scientific discovery and processes. Its employment effects remain highly uncertain. Finally, more analysis is needed on EMDEs, where AI's growth benefits may be constrained by gaps in digital infrastructure, human capital, regulatory frameworks, and the availability of off-the-shelf AI solutions trained on local data and context (World Bank 2026a, forthcoming).

capital, and the catalytic role of private capital mobilization. In particular, countries need to reverse the decline in private investment, which has been on a downward trend since the 2000s. In this context, a comprehensive set of structural reforms could help policymakers boost private investment substantially (box 1.2; figure 1.2.F).

Against this background, the World Bank Group is assisting EMDEs in confronting the near-term impact of the conflict in the Middle East using a three-part plan. First, it is providing immediate liquidity. Using instruments such as the Crisis Preparedness and Response Toolkit, countries can now draw on prearranged contingent financing, existing project balances, and fast-disbursing instruments—and they can move quickly without new approvals. This can provide clients with between $20 and $25 billion of support to respond quickly to the stresses caused by the conflict. The immediate response includes protecting poor and vulnerable people through social safety nets and targeted transfers, supporting fiscal needs of governments, providing working capital and liquidity support for firms and farms, maintaining access to critical imports and trade finance, and reducing the risk of financial sector distress.

Second, the World Bank is reprioritizing projects already in the pipeline. The World Bank Group will reorient parts of its portfolio and pipeline to support the crisis response as needed, while staying anchored in medium-term development priorities. This could expand available resources by $50 to $60 billion over the next six months. Third, it is scaling up the balance sheet if needed. The World Bank Group has the headroom to increase support through new financing, guarantees, private sector support and, if needed, the use of crisis buffers and front-loading. If the conflict and economic fallout persist, this financing could be increased to $80 to $100 billion over 15 months.

Global context

The conflict in the Middle East is affecting the global economic context through several distinct transmission channels. Global trade flows, particularly for energy, have been disrupted, with the near cessation of shipping through the Strait of Hormuz. Severe disruptions are expected to last through July, easing gradually in subsequent months. Reduced flows of commodities from the Gulf region have pushed energy prices sharply higher, contributing to increased cost pressures and heightened consumer inflation. Against the backdrop of intensifying inflationary pressures, global monetary conditions are expected to tighten.

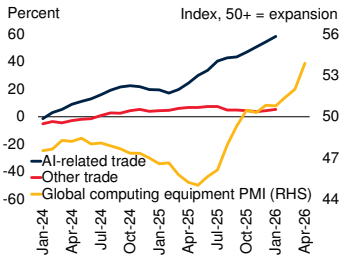
Global trade

Following the U.S. Supreme Court ruling striking down the use of tariffs on international economic emergency grounds, the U.S. administration introduced a temporary 10 percent tariff surcharge under a different law, set to expire in late July. Together with sector- and country-specific measures, the U.S. effective tariff rate has declined slightly, to about 12 percent from about 14 percent earlier this year. While trade policy uncertainty remains elevated, several initiatives are expected to support trade growth and diversification. They include recent free trade agreements

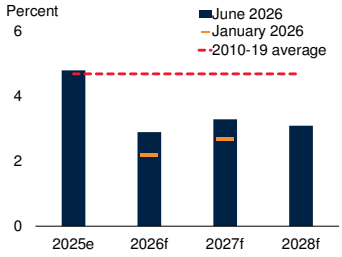
FIGURE 1.3 Global trade

Although global trade is set to slow in 2026—reflecting a reversal of front-loading activity, lagged effects of tariffs, and disruptions related to the conflict in the Middle East—goods trade is still expected to be supported by continued strong demand for AI-related products. Despite this slowdown, trade growth is projected to be stronger than previously anticipated, reflecting continued resilience.

A. AI-related trade and global computing equipment PMI



B. Global trade growth



Sources: Haver Analytics; UN Comtrade; World Bank.

Note: e = estimate; f = forecast. AI = artificial intelligence; PMI = purchasing managers' index; RHS = right-hand scale; WTO = World Trade Organization.

A. Five-month averages of (1) year-on-year growth in nominal global goods imports, and (2) PMI for global computing equipment. AI-related trade includes 13 HS 6-digit product codes. Last observation is January 2026 (trade) and April 2026 (PMI). Sample includes 48 countries.

B. Trade is measured as the average of export and import volumes. "June 2026" and "January 2026" refer to the forecasts in the associated editions of the *Global Economic Prospects* report.

between the European Union and Mercosur, India, and Australia respectively, and between the United Kingdom and India. They also include unilateral market access initiatives such as China's zero-tariff treatment for African countries and the U.S. reauthorization of the African Growth and Opportunity Act.

Despite these supporting factors, growth in global goods and services trade is projected to decelerate from 4.8 percent in 2025 to 2.9 percent in 2026, reflecting a reversal of the earlier front-loading activity in anticipation of higher trade barriers; the delayed impact of tariffs; and the effects of the conflict in the Middle East, including disruptions related to the closure of the Strait of Hormuz. Partially offsetting these headwinds, goods trade is envisaged to be supported by continued robust demand for AI-related products (figure 1.3.A). Meanwhile, services trade growth is set to ease, in part reflecting rising travel and transport costs due to higher fuel prices. Compared with previous projections, however, trade growth in 2026 is 0.7 percentage point higher, reflecting continued resilience, strong AI-related activity, lower global tariffs, and recent trade agreements. Global trade growth is then projected to firm to an average of 3.2 percent in 2027–28, broadly in line with global output, as the adverse effects of tariffs and policy uncertainty ease (figure 1.3.B). Tariff rates in effect as of mid-May 2026 are assumed to prevail throughout the forecast period.

The trade outlook remains subject to substantial downside risks. A re-escalation of the conflict in the Middle East and increased geopolitical tensions could further disrupt goods trade logistics, including maritime and air transport. Uncertainty about the safety of key shipping routes, together with higher fuel prices, could raise shipping costs and weigh on goods trade (Brancaccio, Kalouptsidi, and Papageorgiou 2023; von Below and Vézina 2016). In addition, prolonged geopolitical stress could lead to sharp declines in services trade, particularly tourism (Mulabdic and Yotov 2025). A renewed escalation of trade tensions, potentially extending to third countries and involving secondary sanctions—measures targeting firms or countries trading with sanctioned entities—as well as uncertainty around previously concluded trade agreements, could further dampen trade growth prospects.

Commodity markets

The near halt of shipping through the Strait of Hormuz has triggered enormous disruptions in commodity markets—particularly crude oil, LNG, and fertilizers—since early March (figure 1.4.A). Amid large price swings reflecting geopolitical shifts, spot Brent crude, European natural gas, and urea prices in April averaged 80, 31, and 106 percent above their January levels, respectively. The outlook remains highly sensitive to the duration and intensity of these disruptions. The baseline assumes the most acute phase of disruptions ends in July, with shipping volumes through the Strait of Hormuz returning near pre-conflict levels by the end of 2026.

More prolonged impediments to shipping would imply materially higher prices for key commodities than assumed in the baseline, with broader spillovers to inflation and economic activity. In particular, market stress and disorderly price surges could emerge if crude oil and oil products

inventories are drawn down to critical levels. Any reversal of recent increases in oil exports from producers outside the Gulf region could accelerate this process. Moreover, further damage to oil and gas infrastructure in the Middle East could keep energy prices higher in the medium term, even when acute disruptions abate.

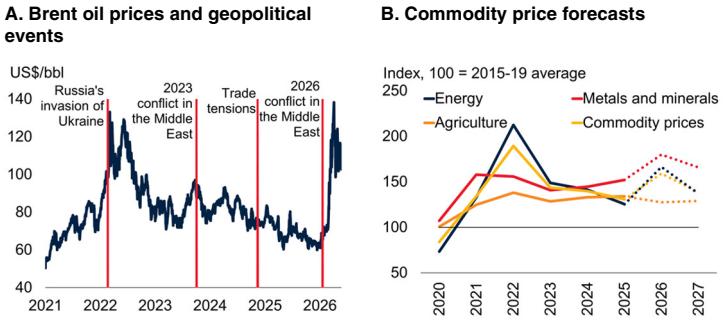
Against this backdrop, average commodity prices are projected to rise by about 22 percent in 2026, a sharp reversal from the 7 percent decline anticipated in January, driven mainly by the surge in energy prices (figure 1.4.B). Brent crude oil is forecast to average $94/bbl in 2026, $34 higher than projected in January, reflecting unprecedentedly large oil supply disruptions that are expected to ease gradually in the second half of this year. Average natural gas prices are also projected to rise in 2026, by a sharp 30 percent in Europe, but only 2 percent in the United States. These forecasts reflect markedly tighter global LNG availability that raises wholesale natural gas prices in East Asia, Europe, and other gas-importing regions.

Price pressures extend beyond energy. Industrial metal prices are expected to increase by about 18 percent in 2026 on tighter supply conditions and firm demand, including from the energy transition, electrification, and data center infrastructure. The average price of precious metals could be about 42 percent higher than last year, supported by strong safe-haven demand. Fertilizer and food markets are also affected. Pre-conflict, economies in the Gulf region supplied about 20 percent of urea and diammonium phosphate (DAP) fertilizer exports, as well as extensive inputs for fertilizer production. Average fertilizer prices are therefore expected to climb by 38 percent this year. Even so, food commodity prices are expected to firm by only 3 percent in the baseline, owing to ample recent grain production globally.

The conflict nonetheless poses significant food security risks. It directly threatens food security in the Middle East by disrupting food imports in the Gulf region, raising domestic food inflation as supplies are rerouted through longer and more costly overland channels. More broadly, a longer-than-anticipated trough in Middle East exports would further lift agricultural input costs and raise

FIGURE 1.4 Commodity markets

The Middle East conflict and its effects on shipping triggered major disruptions in commodity markets, particularly for oil, liquefied natural gas, and fertilizer. Commodity prices are expected to rise by about 22 percent on average in 2026, a sharp reversal from the decline previously anticipated.



Sources: U.S. Energy Information Administration; World Bank.
A. bbl = barrel. Daily data. Last observation is May 26, 2026. Vertical lines indicate geopolitical events.
B. Commodity prices line refers to the World Bank commodity price index, excluding precious metals. Dashed lines indicate forecasts for 2026–27 as of June 2, 2026.

the risk of reduced fertilizer use, weaker crop yields, and higher food prices. Under adverse scenarios, up to an additional 70 million people could face acute hunger and food insecurity over the forecast period (World Food Security Outlook 2026). Beyond developments in the Middle East, the possible emergence of El Niño weather conditions could push food prices above current expectations.

Global inflation

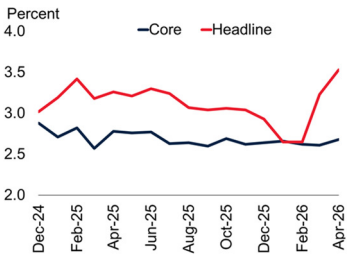
Before the onset of the conflict in the Middle East, global headline and core inflation had remained broadly stable, albeit above pre-pandemic levels and with notable cross-country differences. However, with the interruption of the supply of crucial commodities, particularly oil and natural gas, as well as broader disruptions to global supply chains, global headline inflation picked up, driven by higher input costs and consumer energy prices despite the introduction of fuel subsidies and price caps in some economies (figure 1.5.A). In the United States, this pickup occurred against a backdrop of the passthrough of tariff costs to consumer prices (Cavallo, Llamas, and Vazquez 2025).

Although the impact of higher energy prices on core inflation has been subdued so far, underlying

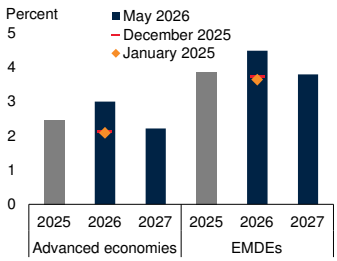
FIGURE 1.5 Global inflation and financial developments

The interruption of supplies of crucial energy commodities has led to a pickup in headline inflation worldwide. Consensus forecasts indicate that inflation is expected to edge up in 2026 across advanced economies and EMDEs as a result of the conflict. Rising energy prices have also driven up bond yields and breakeven inflation rates in advanced economies, particularly in Europe. In EMDEs, local-currency bond yields increased and bond spreads on foreign-currency-denominated debt widened as a result of the conflict and remain higher for commodity importers.

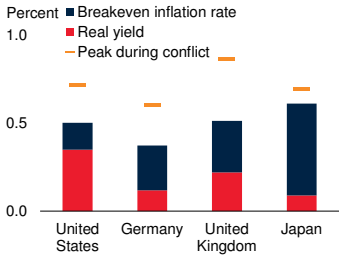
A. Global headline and core CPI inflation



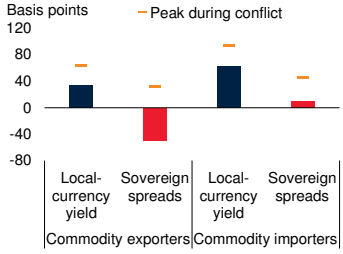
B. Consensus expectations for inflation



C. Change in 10-year nominal yields, by country and components



D. Change in EMDE local-currency bond yields and sovereign bond spreads



Sources: Bloomberg; Consensus Economics; Haver Analytics; J.P.Morgan; World Bank.
Note: CPI = consumer price index; EMDEs = emerging market and developing economies.
A. Panel shows median year-on-year CPI inflation reading from a sample of up to 136 countries. Last observation is April 2026.
B. Median headline CPI inflation expectations for 35 advanced economies and up to 53 EMDEs from Consensus Economics surveys in the respective months of 2025 and 2026.
C. 10-year nominal yields by country, decomposed into real yields and breakeven inflation rates, changes and peak changes since February 27, 2026. Last observation is May 28, 2026.
D. Changes in average local-currency bond yields and foreign-currency sovereign bond spreads across 20 and 63 EMDEs, respectively, before (January 2–February 26) and after (February 27–June 2) the start of the conflict this year.

price pressures persist, with about one-fourth of economies seeing accelerating core prices amid some impact on producer costs and transportation prices. This increase is a notable challenge for a relatively high share of economies, particularly EMDEs, where core inflation is already elevated relative to headline targets.

Surveys of professional forecasters indicate that CPI inflation is projected to edge up in 2026 across advanced economies and EMDEs on the back of higher energy prices (figure 1.5.B). In contrast, the increase for 2027 has been modest, suggesting that headline inflation is expected to moderate due to abating energy price pressures as the conflict winds down and central banks keep monetary policy more restrictive than previously envisaged. The concentration of higher inflation projections in the near term suggests that survey respondents anticipate conflict-driven inflationary pressures to be temporary, indicating that overall expectations remain well anchored.

In all, global headline inflation is projected to pick up to 4 percent this year, with advanced economies and EMDEs seeing headline inflation rise due to increases in energy costs. Global inflation is expected to moderate to 3.1 percent next year as the average crude price declines from $94/bbl in 2026 to $76/bbl in 2027, consistent with the baseline assumption that the current conflict in the Middle East subsides, energy supplies through the Strait of Hormuz resume after July, and energy production curtailed earlier in the conflict gradually recovers. Core inflation is assumed to be relatively stable amid anchored medium-term inflation expectations. Nevertheless, the inflation outlook remains highly uncertain because of the intensity and duration of the commodity market disruption.

Global financial developments

After easing substantially in the second half of last year, global financial conditions tightened following the onset of the conflict in the Middle East. Risk appetite recovered as the ceasefire began, and financial market volatility, which had been elevated across asset classes, receded. However, given heightened uncertainty about how the conflict will proceed, conditions remain tighter than before the conflict for some economies as investors continue to evaluate the impact on inflation and growth.

Concerns about rising inflation due to higher commodity prices and energy supply disruptions have pushed up bond yields as well as breakeven rates of inflation in major advanced economies, especially in Europe (figure 1.5.C). Expectations for central bank policy easing in major economies have dissipated, with the possibility of rate hikes in the euro area and the United Kingdom in the near term, while the U.S. Federal Reserve is now

envisaged to raise its policy rate by late 2026 or early 2027. Correspondingly, the U.S. dollar index is higher than its pre-conflict level.

The broader risk-off sentiment in financial markets affected equity markets to varying degrees. In the United States, conflict-related risk aversion added to investor worries about the size of AI investments relative to their payoffs and the potential for AI to replace certain business models. However, equity prices bounced back to reach all-time highs after the ceasefire, driven by strong earnings and renewed optimism about AI, despite uncertainty about the resolution of the conflict. Equity markets elsewhere experienced larger declines reflecting the greater impact of the conflict on growth and inflation, especially for energy importers, and the recovery has been more sluggish in some cases. High-yield corporate bond spreads widened at the start of the conflict, in both the United States and the euro area, but have recovered since as risk sentiment improved.

In EMDEs, financial conditions initially tightened, with only a partial recovery for some commodity importers after the ceasefire. Investors have differentiated across EMDEs based on their energy exposure and ability to adjust to the shock, which is reflected across asset classes. While bond spreads on foreign-currency-denominated debt widened and local-currency bond yields increased during the conflict, the changes were more pronounced for commodity importers, especially where the rise in oil prices could strain fiscal positions and exacerbate inflation (figure 1.5.D). Deteriorating risk sentiment also led to equity price declines, portfolio outflows from EMDEs, and currency depreciation, leading some authorities to intervene in foreign exchange markets to alleviate pressures. Sovereign debt issuance by EMDEs slowed amid higher market volatility. However, equity markets, portfolio flows, and issuance rebounded strongly as risk appetite recovered, despite uncertainty regarding the duration of the conflict and its impact. Energy exporters outside the Middle East and EMDEs with improved policy frameworks and substantial buffers have benefited the most. However, higher borrowing costs are set to put pressure on rising sovereign debt burdens, and issuance is expected to moderate if geopolitical uncertainty persists.

Major economies: Recent developments and outlook

Advanced economies

Economic activity in advanced economies turned out to be better than expected last year, with a less pronounced drag from trade policy shifts. This year, growth is projected to slow to 1.5 percent, owing to the impact of higher energy prices and inflation, constrained energy supplies, and tighter monetary conditions following the outbreak of the conflict in the Middle East. Over 2027–28, energy supplies are anticipated to recover, inflation and uncertainty are expected to recede, and financial conditions are envisaged to ease, supporting a pickup in growth to an average of 1.7 percent.

In the **United States**, private domestic demand continued to expand at a steady pace in early 2026, supported by generally robust AI-related investment and resilient consumer spending, with additional tax breaks that came into effect earlier this year boosting household incomes. Despite resilient activity, U.S. consumer sentiment remained downbeat amid rising inflation expectations. Since the outbreak of the conflict, the spike in energy prices has sent U.S. consumer prices on a steep upward path, leading market participants to begin pricing modest monetary tightening over the remainder of the year.

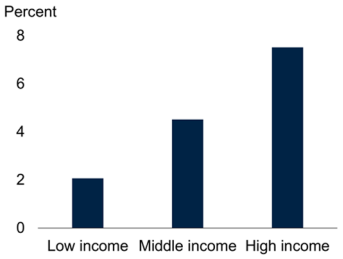
Going forward, the U.S. near-term outlook will hinge, on the one hand, on developments in the Middle East conflict, along with the attendant geopolitical and policy uncertainty, and, on the other, on continued AI-related investment. Tighter monetary conditions in response to rising consumer inflation are expected to dampen private consumption, with the drag likely to be concentrated among higher-income households. The latter have accounted for a sizable share of consumption growth and are particularly sensitive to fluctuations in financial markets (figure 1.6.A).

On the business side, investment spending is set to continue along a two-track path. Investment in non-technology sectors is expected to remain lackluster, dampened by uncertainty and high energy costs. In contrast, spending on AI-related

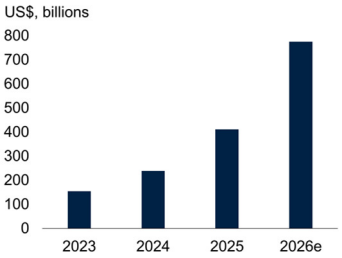
FIGURE 1.6 Major economies: Recent developments and outlook

In the United States, tighter monetary conditions and heightened policy and geopolitical uncertainty are expected to weigh on spending, particularly by higher-income households, which have been driving U.S. consumption. Nevertheless, spending on AI-related technology is envisaged to remain robust, as large technology companies continue to invest in computing equipment to power AI models. In the euro area, growth is projected to slow, with the spike in energy prices causing consumer confidence to record its largest decline since Russia's invasion of Ukraine. In China, consumer confidence remains subdued amid the ongoing adjustment in the property sector and a soft labor market.

A. Cumulative U.S. real retail sales growth since January 2023, by income levels



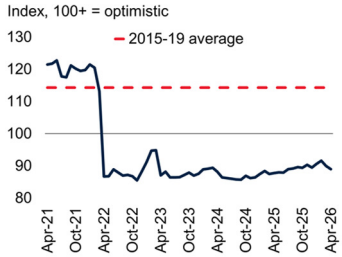
B. Hyperscalers' capital expenditure



C. Consumer confidence in the euro area



D. Consumer confidence in China



Sources: Bloomberg; Eurostat; Federal Reserve Bank of New York; Haver Analytics; World Bank.
Note: e = estimate. AI = artificial intelligence.
A. "Low income" refers to income below $40K, "middle income" refers to income from $40K to $125K, and "high income" refers to income above $125K. Cumulative growth between January 2023 and April 2026. Real retail spending excludes autos.
B. Bars show annual total hyperscalers' capital expenditure for five companies (Amazon, Google, Meta, Microsoft, and Oracle). 2026e data are based on company announcements through May.
C. Blue line shows the euro area consumer confidence indicator (percent balance of respondents reporting an increase less those reporting a decrease). Vertical lines indicate geopolitical events. Last observation is May 2026.
D. Blue line shows the monthly consumer confidence index in China, with values over 100 representing optimistic confidence. Red dashed line shows the average between 2015–19. Last observation is April 2026.

technology is anticipated to remain robust, as large technology companies continue to invest in computing equipment to power AI tools (figure 1.6.B). Technology investment is expected to remain high, even as its growth is envisaged to gradually slow in 2027–28, with its contribution to overall output growth continuing to be mitigated by its relatively high import content.

In all, U.S. growth is projected to average 2.2 percent in 2026, as expected in January, with the impact of the conflict offsetting the stronger underlying trend growth in consumption and robust AI-related investment spending. Nevertheless, tighter monetary conditions, higher consumer energy prices, and still-elevated uncertainty are anticipated to progressively weigh on growth over the course of the year. In 2027–28, growth is expected to ease to 2.1 percent, in line with estimates of potential growth over the next few years, as investment in data center capacity begins to stabilize at elevated levels, while consumption spending eases in line with weaker nominal income growth, even as inflation recedes and monetary conditions ease.

In the **euro area**, the sharp increase in energy prices is expected to have a notable impact on growth. Following better-than-expected activity in several large economies in late 2025, accompanied by buoyant consumer and business sentiment and a strong labor market in early 2026, activity deteriorated with the outbreak of hostilities in the Middle East in March. The headline services sector PMI fell sharply, while the European Commission's consumer confidence indicator recorded its largest one-month decline in March since the Russian Federation's invasion of Ukraine in February 2022 and has since remained subdued (figure 1.6.C). While the headline manufacturing PMI continued to remain firmly in expansionary territory through April and May, subindexes related to input price pressures and delivery times deteriorated.

In all, growth in the euro area is projected to slow to 0.8 percent in 2026, slightly weaker than January forecasts, as the negative effects of higher energy prices more than offset the positive effects of firmer activity at the turn of the year and lower U.S. tariffs on euro area exports. Elevated energy prices are expected to restrain consumption and investment, with the impact on the euro area amplified compared to some other advanced economies, reflecting its dependence on energy imports. The baseline outlook is also predicated on tighter euro area monetary conditions in 2026 amid rising inflation.

Growth in the euro area is expected to recover to 1.3 percent over 2027–28, slightly outpacing estimates of potential growth, led by a firming of domestic demand against a backdrop of declining energy prices. Rising fiscal support and investment, particularly in Germany, are also anticipated to further underpin activity, alongside a resumption of monetary easing, recovering real incomes, and improving confidence. Net exports are also envisaged to contribute more positively to growth over the next two years, as global activity strengthens and trade firms with progress on several trade agreements since late 2025, including with India.

In Japan, rising energy prices are expected to weigh on near-term growth, more than offsetting additional fiscal support. Growth is projected to decelerate to 0.7 percent in 2026 from 1.1 percent in 2025, mainly reflecting slowing consumption and exports. Over 2027–28, growth is anticipated to pick up to an average of 0.8 percent as domestic demand improves amid easing inflation and rising wages.

China

China's growth continued at a solid pace in early 2026, with policy stimulus supporting consumption and infrastructure investment. Export growth remained robust, boosted by technology-related demand. Higher producer price inflation was largely driven by the increase in commodity prices due to the conflict. Meanwhile, the adjustment in the property sector continued, with modest improvements in large cities.

Growth is projected to decelerate to 4.2 percent in 2026, with consumption growth weighed down by the ongoing property sector adjustment, a soft labor market, and subdued consumer confidence (figure 1.6.D). In the near term, the impact of the conflict in the Middle East will be cushioned by several factors, including substantial oil reserves, a high share of renewable energy, and very low inflation. Caps on fuel prices are set to limit the pass-through of higher energy prices to households. Export growth is expected to moderate relative to 2025, owing to the fading of front-loading and weaker external demand this year, although it will be partly supported by lower U.S. tariffs and the continued strength in technology-related exports. The fiscal impulse from the announced measures is expected to be positive, albeit somewhat smaller compared to last year. Fiscal stimulus remains heavily focused on investment, with an incremental increase in support for household consumption.

Growth is expected to edge up to 4.3 percent on average in 2027–28, as energy prices ease while diminishing returns to capital, high debt, and demographic pressures continue to lower China's potential growth.[1] As exports ease, medium-term policy priorities are expected to provide an incremental boost to consumption and lead to productivity gains from digital and industrial innovation.

Emerging market and developing economies

Recent developments

Before the onset of the conflict in the Middle East, activity in EMDEs remained solid in early 2026. Retail sales and services activity had continued to expand, while manufacturing and services activity had improved. The disruption in energy supplies and sharp increase in energy prices caused by the conflict have dampened confidence and weakened broader economic activity. Indeed, since the start of the conflict, both the headline manufacturing and services PMIs have deteriorated across EMDEs, albeit to varying degrees.

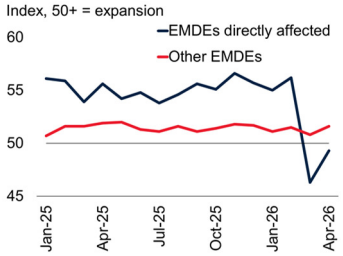
In EMDEs directly affected by the conflict, the composite PMI fell steeply in March, reaching the lowest point since the pandemic, suggesting that activity has decelerated sharply, before partially rebounding in April (figure 1.7.A). In the Gulf region, conflict-related disruptions to oil and natural gas production and exports led to a pronounced contraction in the energy sector. Outside of the energy sector, activity stalled as the security situation deteriorated, with both services and non-energy industrial activity coming to a halt amid a surge in outward flows of workers and declining visitor arrivals. Sharply lower confidence

[1] Debt refers to aggregate non-financial sector debt as measured by total social financing (excluding equity).

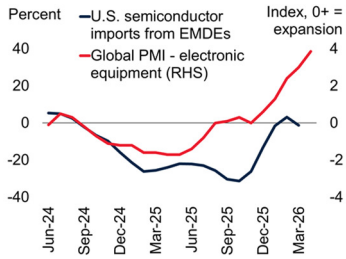
FIGURE 1.7 Recent developments in emerging market and developing economies

Following the onset of the conflict in the Middle East, EMDEs directly affected by hostilities have experienced a sharp deceleration in activity, with the slowdown being less severe elsewhere. Despite the energy shock, EMDEs integrated into AI and digital equipment supply chains have continued to see steady export growth, against a backdrop of strong AI-related investment in advanced economies, particularly the United States.

A. Composite PMIs, by impact of conflict in the Middle East



B. Global electronics PMIs and growth in U.S. semiconductor imports from select EMDEs



Sources: Haver Analytics; United States International Trade Commission (USITC); World Bank.
Note: EMDEs = emerging market and developing economies; PMI = purchasing managers' index; RHS = right-hand scale.
A. Red (blue) line shows a simple average of 5 (13) EMDEs directly (not directly) affected by the conflict in the Middle East. Readings above (below) 50 indicate expansion (contraction). Last observation is April 2026.
B. Blue line shows a three-month moving average of year-on-year growth in U.S. semiconductor imports from China, Indonesia, Malaysia, the Philippines, Thailand, and Viet Nam. Red line shows the three-month moving average of global electronic equipment PMI. Readings above (below) zero indicate expansion (contraction). Monthly readings are recentered at 0, the expansionary threshold. Last observation is March 2026 for U.S. semiconductor imports and April 2026 for PMI.

indicators suggest that both consumption and investment are set to slow significantly in these economies this year.

In EMDEs not directly affected by the conflict, activity also appears to have slowed but to a much lesser degree. Indicators of consumption, including retail sales growth, consumer confidence, and services sector PMIs, have deteriorated somewhat since February. However, these indicators continue to remain broadly supportive despite the surge in energy prices and moves to ration energy supplies in some economies. Business confidence has also eased in parallel to softening but still-expansionary headline manufacturing PMIs. Although, a deterioration in PMI subindices tied to input prices and employment since late 2025 suggests that activity may slow.

For EMDEs excluding China, trade growth has softened, following a pullback in U.S. imports in the second half of 2025. Nevertheless, some EMDEs—particularly those in the East Asia and Pacific (EAP) region that are integrated into AI-related supply chains—have continued to record steady export growth, with strong demand linked to sustained investment in digital and AI-related equipment, especially in the United States, supporting activity (figure 1.7.B).

EMDE outlook

Overall, growth in EMDEs is projected to slow to 3.6 percent this year, reflecting the drag from the conflict and higher energy prices, tighter monetary conditions, heightened geopolitical strains, weaker global trade growth, and ongoing trade policy uncertainty in some regions (World Bank 2026b, 2026c). Over 2027–28, growth across EMDEs is expected to rebound to an average of 4.2 percent. At the aggregate level, the EMDE outlook continues to reflect developments in China, given its large weight in the group. As China's growth gradually moderates, this mechanically lowers medium-term growth for EMDEs as a whole. Nevertheless, the recovery over 2027–28 is expected to be broad-based, with growth accelerating in about 70 percent of EMDEs. Excluding China, growth in EMDEs is forecast to decelerate from 3.9 percent in 2025 to 3.2 percent in 2026, before strengthening to an average of 4.1 percent over 2027–28.

Growth prospects in 2026 for EMDEs as a whole have been revised down by 0.4 percentage point relative to January, mainly reflecting the adverse effects of the conflict. These effects are expected to be highly uneven across EMDE regions (Chapter 2). Economic activity is estimated to be severely disrupted in some economies in the Middle East, following the destruction and disruptions suffered because of the conflict. That said, some factors are providing partial positive offsets. These include broadly resilient activity in early 2026; lower effective tariffs; positive spillovers from large AI-related investments in advanced economies, particularly to the EAP region; and China's relative insulation from energy supply disruptions.

With EMDE governments' capacity to respond to higher energy prices constrained by limited fiscal space, owing to elevated debt levels and tighter monetary conditions, adjustment to the energy shock has relied partly on non-fiscal measures, including promoting remote work, public

transport, and fuel conservation. As a result, fiscal policy is expected to modestly weigh on growth, or at best be neutral, in most EMDEs. Over most of 2026, tighter monetary conditions amid higher inflation relative to late 2025 are anticipated to restrain activity. Nonetheless, over 2027–28, monetary conditions are envisaged to ease against a backdrop of lower energy prices and fading uncertainty, supporting activity.

Commodity-exporting economies are forecast to see the most pronounced slowdown among EMDEs, with growth slowing to 2.4 percent in 2026, 0.9 percentage point weaker than anticipated in January, before rebounding to 3.4 percent on average over 2027–28 (figure 1.8.A). This dynamic is largely driven by energy-exporting EMDEs in the Gulf region that are directly affected by the conflict.[2]

Activity in EMDEs directly affected by the conflict is forecast to decelerate sharply, with growth tumbling from 3.9 percent in 2025 to 0.2 percent in 2026, the slowest pace since the pandemic, reflecting severe disruptions and damage to infrastructure, which will weigh on energy production and export volumes, and other non-energy-sector activity more broadly. Average growth in these economies is expected to recover to 5.0 percent over 2027–28, partly reflecting reconstruction spending. Nevertheless, these EMDEs are likely to face lasting adverse effects due to the conflict, with output levels projected to be about 4 percent lower by the end of 2028 than envisaged in January (figure 1.8.B). In contrast, forecasts for growth in energy-exporting EMDEs not directly affected by the conflict are broadly unchanged from January, as the temporary boost from higher energy prices this year is anticipated to provide only modest overall support to activity, somewhat offset by tighter monetary conditions and higher uncertainty.

The deceleration in growth in commodity-importing EMDEs excluding China is expected to be less severe, with growth softening to 4.1 percent in 2026, about 0.2 percentage point weaker than forecast in January, before it picks up to an average of 4.8 percent over 2027–28. The slowdown in 2026 reflects the dampening effects of higher energy prices, elevated uncertainty, and tighter monetary conditions on investment, and to a lesser extent private consumption, despite a modest increase in government consumption compared to January in some economies (figure 1.8.C). Over 2027–28, moderating energy prices, rising real incomes, improving confidence, and the resumption of monetary easing are expected to support a pickup in both consumption and investment. Strengthening external demand, including for AI-related equipment, and a recovery in global trade beginning later in 2026 are anticipated to boost net exports.

The adverse effects of higher energy prices are expected to be more pronounced in the roughly one-quarter of EMDEs with weak sovereign creditworthiness—many of them energy importers (figure 1.8.D). Elevated energy and commodity prices have put pressure on exchange rates, particularly in commodity importers, and are likely to widen current account and fiscal deficits (Lebrand, Vasishtha, and Yilmazkuday 2024). In weakly rated EMDEs, these effects are anticipated to weigh more heavily on financial conditions and borrowing costs, leading to larger negative impacts on activity and confidence (IMF 2024). Indeed, among these economies, the largest downward revisions to growth forecasts are concentrated in energy importers. Such dynamics may exacerbate pre-existing imbalances and raise sovereign spreads, increasing the risk of balance-of-payments or fiscal crises, further weighing on fiscal sustainability.

LICs outlook

In low-income countries (LICs), the conflict in the Middle East is dampening growth, heightening fiscal pressures, and threatening food security (box 2.1). Higher global energy, fertilizer, and food prices; elevated uncertainty; and weaker external demand are disproportionately affecting LICs, most of which are net importers of energy and food. These shocks compound ongoing headwinds, including persistent fragility and insecurity,

[2] EMDEs directly affected by the conflict include Bahrain, Iraq, Kuwait, Qatar, Saudi Arabia, and the United Arab Emirates. Associated growth forecasts for this group of economies exclude the Islamic Republic of Iran and Lebanon because of a high degree of uncertainty.

BOX 1.2 Unlocking private investment

Against a backdrop of weak output growth, mounting fiscal pressures, declining aid flows, and persistent structural challenges, private investment has a pivotal role to play in unlocking durable growth and job creation in emerging market and developing economies. Yet despite its importance, private investment growth has trended downward since the 2000s. Firms cite a range of constraints, notably persistent infrastructure gaps, high risk and uncertainty, and limited access to finance. Recent overlapping crises and elevated uncertainty make it even more important to design policies that accelerate private investment growth. Case studies show that sustained increases in private investment are possible, but policies need to reflect country circumstances. Foundational infrastructure and a business-friendly environment are essential building blocks. Access to finance, whether domestic or external, is crucial for firms to grow and create jobs. Comprehensive reform packages that combine infrastructure, finance, regulatory, and institutional reforms tend to deliver the strongest impacts.

Investment is pivotal to development progress, underpinning durable growth and job creation prospects. Yet investment growth, both public and private, in emerging and developing economies (EMDEs) has been on a prolonged declining path. This slowdown has contributed to weakening output growth and slowing development progress (Adarov 2025; Kose and Ohnsorge 2024; Mahler et al. 2026). Overlapping shocks have contributed to historically high levels of uncertainty and strained fiscal positions, which may both weigh further on investment at a time when EMDEs face a multitude of development challenges, including an unprecedented demographic wave. Looking ahead, a record 1.2 billion young people in EMDEs are set to reach working age over the next decade. Boosting investment will be crucial to efforts to create sufficient job opportunities, particularly in rapidly growing urban areas where most employment is generated (Baker et al. 2023). Most of this investment will need to come from the private sector. Mobilizing private capital to reinvigorate investment growth should therefore be a priority for policy makers.

Against that backdrop, this box examines three main questions: (1) How has private investment growth in EMDEs evolved over recent history? (2) What are the key constraints to private investment growth? and (3) What policies can promote private investment growth?

Trends and developments in private investment

Globally, both public and private investment growth have been on a broad-based slowing trend since the 2000s (Adarov and Stamm 2025). In EMDEs, private investment growth over the first half of the 2020s has averaged 2.7 percent a year: less than half the 7 percent average of the 2010s, and about one-quarter of the 10.8 percent average seen over the 2000s (figure B1.2.1.A). Beyond these aggregate headlines, the slowdown in private investment growth over time has been broad-based across EMDEs. The slowdown appears particularly sharp because of dynamics in China, which recorded very strong private investment growth in the 2000s that subsequently decelerated significantly through the 2010s and into the 2020s.

The overlapping crises of recent years—including the pandemic, conflicts, and global inflationary pressures—are casting a further shadow over the outlook for private investment. Investment growth in EMDEs was already weak heading into the pandemic. The subsequent recovery was weaker than the recovery which followed the 2009 global recession after the financial crisis (figure B1.2.1.B). Even excluding 2020 (the year when the COVID-19 shock hit the global economy, prompting a contraction in private investment), or the subsequent year, annual private investment growth in the early 2020s has been weaker than the 2010–19 average. The weak recovery in private investment reflects several factors. Uncertainty, which was already persistently high, has risen further in the first half of 2026, including in response to conflict in the Middle East. Policy makers face pressure to respond to these crises. A cycle of global monetary tightening in response to higher inflation has increased borrowing costs for EMDEs. Debt levels and debt servicing costs have both risen as a share of GDP in EMDEs. Fiscal pressures can be exacerbated by high debt burdens. Low-income countries (LICs) in particular are vulnerable: not one is at low risk of debt distress (Mawejje 2025).

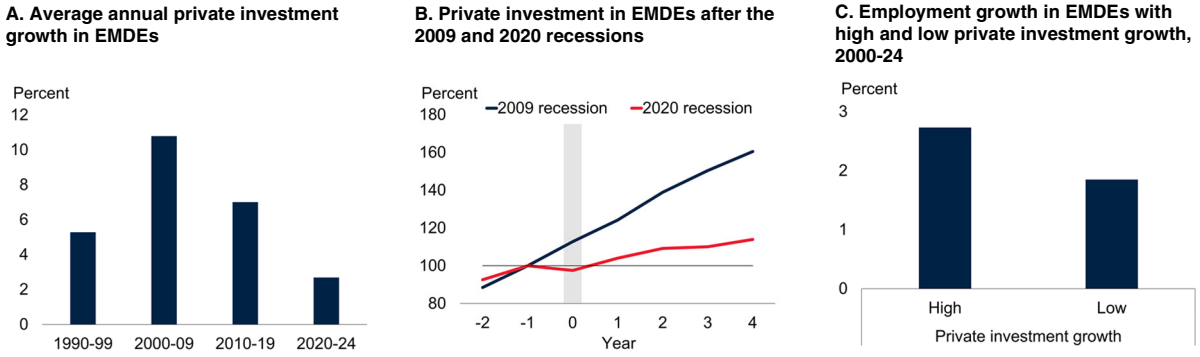
Beyond the short term, the implications of lower private investment growth are stark. Slow-moving structural forces can have profound implications for living

Note: This box was prepared by Tommy Chrimes, Kersten Stamm, and Mathilde Lebrand.

BOX 1.2 Unlocking private investment (*continued*)

FIGURE B1.2.1 Investment trends in EMDEs

Private investment growth has been on a declining trend since the 2000s. The recovery in private investment following the COVID-19 pandemic was weaker than that following the global financial crisis. Since 2000, EMDEs that have achieved higher rates of private investment growth have also tended to deliver higher employment growth.



Sources: Haver Analytics; ILOSTAT (database); World Development Indicators (database); World Bank.
Note: EMDEs = emerging market and developing economies. Sample includes up to 36 EMDEs in any year.
A. Bars show average annual investment growth for EMDEs.
B. Investment is indexed to 100 in the year before the global recession; 0 indicates the year of the global recession (2009 or 2020).
C. Bars show group medians of annual employment growth. "Low" and "high" indicate annual private investment growth in the bottom and top third of the distribution of private investment growth, respectively. Sample of 44 EMDEs, covering the period from 2000 to 2024.

standards. How these shifts play out and the ability of countries to adapt to them depend in part on investment. Demographics is one such trend. For EMDEs as a group, the projected number of young people reaching working age over the next decade will be unprecedented (Chrimes, Kose, and Stamm 2026). On a per capita basis, investment in EMDEs excluding China remains low relative to advanced economies, with no upward trend in the ratio so far this century. Reinvigorating private investment growth will be important everywhere, and particularly in capital-poor EMDEs with rapidly growing populations.

Higher private investment growth over time is also associated with higher employment growth. Over the period between 2000 and 2024, the median economy which ranked in the top third of EMDEs for private investment growth typically recorded annual employment growth of 2.7 percent—almost 50 percent higher than the equivalent EMDE in the bottom third for private investment growth, where employment growth averaged less than 1.9 percent (figure B1.2.1.C). Moreover, in a fast-changing economic environment amid technological change, equipping workers for better-paid jobs will likely require higher investment growth, and much of this will need to come from the private sector.

Constraints to private investment

Private investment hinges on risk-adjusted returns and the capacity to finance and execute viable projects, and is shaped both by investment-specific constraints (such as infrastructure and financing frictions) and broader macroeconomic conditions, including sovereign risk and global financing conditions (Chrimes, Lebrand, and Mawejje 2025).

An important concern is elevated risk and uncertainty, which are high in EMDEs, and in LICs in particular. Country risk is substantially higher in LICs, which have a much larger concentration of high- and very high-risk economies, in contrast to advanced economies that are predominantly low risk (figure B1.2.2.A). At the same time, global geopolitical risk has risen sharply in recent years, reaching levels comparable to or above earlier peaks over the past four decades (figure B1.2.2.B). High levels of uncertainty complicate investment decisions, increasing the return that investors require before committing capital, and can have a chilling effect on private investment, especially long-term investment

BOX 1.2 Unlocking private investment (*continued*)

commitments. Recent overlapping shocks, including the pandemic, conflicts, and global inflation, have raised uncertainty and contributed to higher interest rates, which in turn increase the cost of finance and weigh on investment.

A weak business environment can raise operating costs, increase uncertainty, and reduce the reliability of future production and sales, holding back private investment. Surveys highlight access to finance and crime or political instability as prominent obstacles faced by firms operating in EMDEs, while firms in LICs also often point to infrastructure-related constraints (figure B1.2.2.C). Access to reliable electricity is an important infrastructure gap, with almost half of firms in the median LIC reporting access to electricity as a major constraint (figure B1.2.2.D). Tax and tax administration also add complexities to investment decisions. Many firms in EMDEs report tax administration as a major obstacle, reflecting high compliance costs and uncertainty created by limited regulatory clarity, cumbersome procedures, and inconsistent implementation.

Limited access to finance can inhibit firms from undertaking otherwise viable projects. A sizable share of firms in EMDEs report finance as an obstacle, and the incidence is higher in LICs than in other EMDEs and advanced economies (figure B1.2.2.E). Financing constraints are often compounded by shallow financial markets and limited financial development (figure B1.2.2.F). In EMDEs, the mismatch between the long-term capital requirements of many investment projects and the short-term nature of available bank financing is larger than in advanced economies.

Policies to promote private investment

Efforts to boost private investment need to address country-specific constraints, often with a particular focus on risk, infrastructure gaps, and financing frictions, and potentially requiring the strengthening of macroeconomic and institutional fundamentals. Policy measures include public investment in foundational infrastructure that crowds in private investment; strong economic fundamentals such as sound fiscal, monetary, and financial policies coupled with strong institutions and well-designed regulations; and policies that enhance access to finance for firms (Chrimes, Lebrand, and Mawejje 2025). Effective reform packages can help create conditions for strong domestic and foreign private sector investment. Policies may also address market failures or alleviate other specific constraints. The optimal policy package will depend on country circumstances, including institutional capacity for implementation, and alignment with broader policy objectives.

Infrastructure to underpin private investment

Well-functioning foundational infrastructure is an important building block for sustained private sector investment and long-run growth. Reliable transportation, affordable energy, and strong digital connectivity help firms connect to markets. Recent evidence also suggests that targeted equity investment in EMDE infrastructure can deliver competitive returns, underscoring the potential for infrastructure to support both development outcomes and private investment opportunities (Chari, Henry, and Mauro 2025).

In EMDEs with sufficient fiscal space and efficient government spending, public investment can crowd in private investment (figure B1.2.3.A; Straub et al. 2026; World Bank 2024c). Social rates of return on infrastructure investment in EMDEs can be high, though this varies depending on country circumstances (Chari, Henry, and Picardo 2025; Gardner and Henry 2023). Steps to enhance the reliability of electricity supply have supported foreign direct investment (FDI) in Sub-Saharan Africa, especially when complemented with other infrastructure such as digital connectivity and roads (Mensah 2024; Mensah and Traore 2024). In many EMDEs, urban policies, particularly those related to land use, housing, municipal finance, and urban infrastructure, also play a critical role in shaping private investment, given that most private-sector activity is concentrated in cities (Baker et al. 2023).

Policies can incentivize private investment in foundational infrastructure under the right conditions. Policy options to incentivize private sector participation in infrastructure investment include effective and independent regulation, setting cost-reflective tariffs for services, and shifting from broad subsidies to target interventions that do not distort competition (Kessides 2005). Public-private partnerships (PPPs) can crowd in private investment by pooling capital for large projects, improving risk sharing, and reducing entry risks. They can be complemented by risk-mitigation instruments

BOX 1.2 Unlocking private investment (*continued*)

such as guarantees and blended finance. Effective PPP design and regulation, however, require significant institutional capacity (Cull et al. 2024; Fabre and Straub 2023).

An investment-friendly business environment

Improving the investment climate and undertaking structural reforms coupled with well-functioning institutions are important underpinnings for private investment (Chrimes, Lebrand, and Mawejje 2025; Development Committee 2026). In EMDEs, reform spurts that improved an economy's investment climate, for example by establishing enforceable property rights and minimizing expropriation risk, have led to sustained increases in private investment. Furthermore, in EMDEs, major structural reforms, including strengthening the domestic financial sector or boosting competition, led to a statistically significant 2.2 percent increase in private investment three years after the reforms were implemented (figure B1.2.3.B). An investor-friendly business environment, underpinned by high institutional quality, is also a catalyst for attracting FDI. Reforms that substantially raise institutional quality are associated with a significant and large boost to FDI inflows (figure B1.2.3.C; Adarov and Pallan 2025).

Micro, small, and medium-sized enterprises represent the majority of businesses in EMDEs but face constraints that vary widely across firm size and maturity. Lowering the cost of doing business—including by strengthening insolvency regimes, credit information systems, and financial regulation—can help close financing gaps and support firm growth. Policy priorities vary across firms, ranging from easing entry and compliance for smaller firms to expanding access to finance, land, and capital markets for larger and growing firms (Carvajal and Didier 2024; Development Committee 2026).

Well-functioning financial markets

Policies that enhance firms' access to financing, deepen and improve the efficiency of capital markets, and boost access to credit and local-currency financing can support private investment. Key measures include boosting access to external finance and removing constraints to sustainable capital flows, developing digital infrastructure that allows small firms and financial institutions to participate in financial markets, and strengthening contract enforcement to help lower collateral demands (United Nations 2022).

In EMDEs, financial institutions generally provide a smaller share of private sector credit than in advanced economies, particularly for longer-term loans. Establishing credit-reporting frameworks that reduce information asymmetries between firms and lenders, establishing licensing frameworks for nonbank financial institutions such as microfinance lenders, and scaling up guarantee schemes to address high perceived risk can all crowd in additional private capital (Carvajal and Didier 2024). Furthermore, well-functioning local-currency debt and equity markets can help attract large institutional investors in economies with underdeveloped financial markets. In EMDEs that saw capital market deepening over the past three decades, productive firms were able to access new sources of financing and boost investment (figure B1.2.3.D; Meh and Schmukler 2025).

Country-specific context and reform combinations

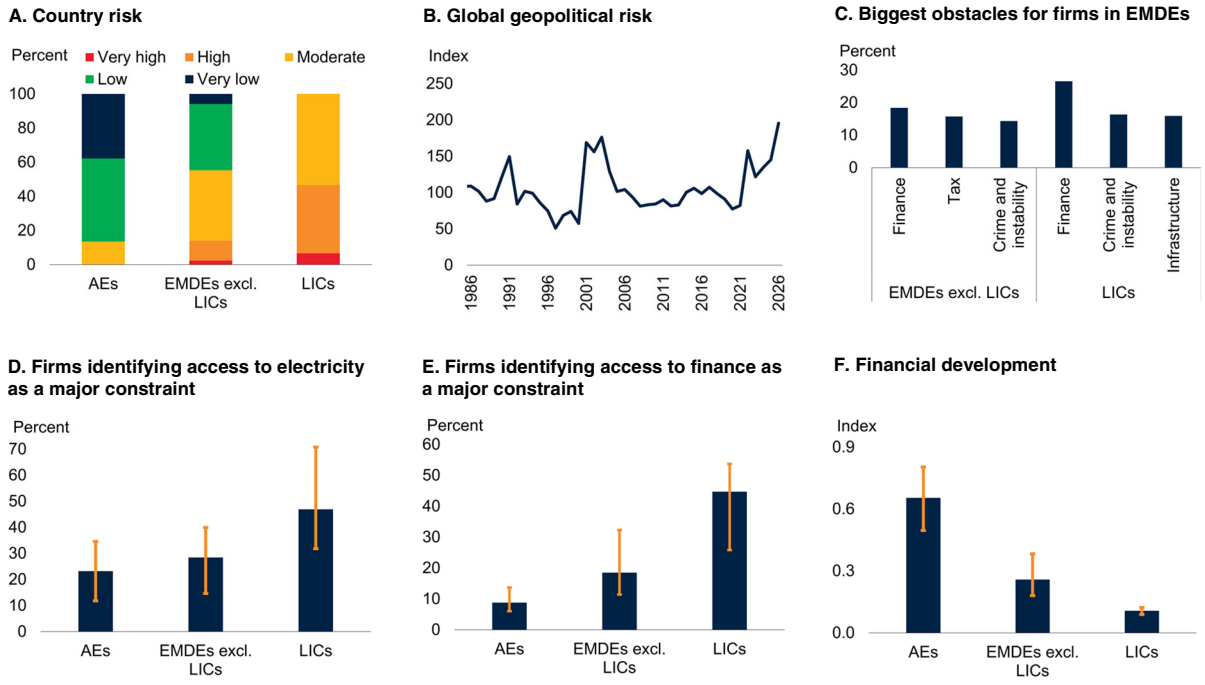
Comprehensive reform packages, especially when coupled with strong institutions, can spark private investment accelerations: periods of sustained and relatively rapid private investment growth. During these acceleration periods, private investment growth typically reached 11 percent per year, while output growth increased by 2 percentage points compared to other years, and total factor productivity growth tripled from 0.5 percent per year to 1.6 percent per year (figure B1.2.3.E). These accelerations often followed or coincided with reforms that improved institutions, stabilized the macroeconomy (supported, for example, by fiscal consolidation and inflation targeting), and eased cross-border trade and financial flows. Such reforms have tended to be particularly effective when combined in coherent and well-sequenced packages (figure B1.2.3.F; Chrimes, Lebrand, and Mawejje 2025).

Policies to boost private investment should be tailored to country-specific circumstances and priorities. Governments with the greatest needs often lack the technical and administrative capacity to address them, especially in LICs and FCS economies. Building stronger implementation capabilities is a gradual process that often depends on greater international support. In

BOX 1.2 Unlocking private investment (*continued*)

FIGURE B1.2.2 Constraints to private investment

Country risk is high in EMDEs, and in LICs in particular, while globally, uncertainty has spiked in recent years and remains elevated. Firms in EMDEs report a range of obstacles, with access to finance an important common theme, and electricity access a concern in the majority of LICs. Financial development is also lower in EMDEs, and in LICs in particular.



Sources: Caldara and Iacoviello (2022); International Monetary Fund, Financial Development Index; PRS Group, International Country Risk Guide (ICRG) (database); World Bank Enterprise Surveys; World Bank.

Note: AEs = advanced economies; EMDEs = emerging market and developing economies; excl. = excluding; LICs = low-income countries.

A. Share of economies, by risk category. Based on the ICRG composite index, as of February 2026.

The index aggregates financial, economic, and political risks, and ranges between 0 and 100. Sample includes 34 AEs and 73 EMDEs, of which 14 are LICs.

B. Geopolitical Risk Index from Caldara and Iacoviello (2022). The index is available at monthly frequency; observations are averaged to the annual level. Data downloaded on April 21, 2026. Higher values imply greater levels of geopolitical risk.

C. Panel shows the top three obstacles cited by firms as per Enterprise Surveys, using the latest available year for each economy. Bars show averages for the indicated country groups, based on up to 128 EMDEs, including 23 LICs. "Infrastructure" combines firms naming electricity and transportation; "Taxation" combines tax administration and tax rates; "Crime/instability" combines crime, theft, disorder, and political instability; and "Labor" combines an inadequately educated workforce and labor regulations. Percentages reflect the share of firms in each country identifying that combined category as their single biggest obstacle.

D.E. Blue bars show the median share of firms identifying access to electricity (D) or access to finance (E) as a major constraint as per Enterprise Surveys, using the latest available year for each economy. Orange whiskers show the interquartile range. Sample includes up to 23 AEs and 128 EMDEs, of which 23 are LICs.

F. Blue bars show the median financial development index for each country category. Orange whiskers show the interquartile range. Based on 2021 data for 34 AEs and 130 EMDEs, of which 22 are LICs. Each indicator within the index is normalized between 0 and 1. The highest value of a given variable across time and countries is equal to one; all other values are measured relative to this maximum. Data are winsorized at the 5th and 95th percentiles to temper the effects of extreme outliers.

addition, well-planned reform agendas require commitment and patience and are often more effective when they fit into existing frameworks (Acemoglu, Johnson, and Robinson 2001).

Private Investment Accelerations: Case Studies

The policy challenges may seem daunting, but history offers many examples of countries that have successfully boosted private investment growth (Chrimes, Lebrand, and Mawejje 2025; Stamm and Yu 2024). For example:

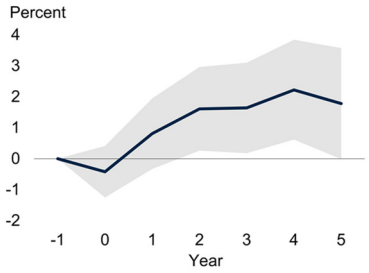
- **Colombia** saw an investment acceleration between 2001 and 2007, with private investment growing at 12.2 percent on average over this period. This acceleration followed a difficult period of macroeconomic performance and was preceded by a set of significant stabilizing macroeconomic reforms, including the adoption of a floating exchange rate and inflation targeting, the strengthening of central bank independence, and improved government finances supported by tax

BOX 1.2 Unlocking private investment (*continued*)

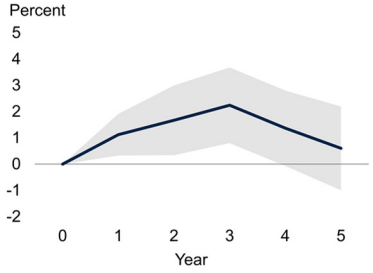
FIGURE B1.2.3 Policies to promote private investment

A rise in public investment typically results in an increase in private investment several years later. Major structural reforms also have a positive impact on private investment. At the firm level, stock or bond issuance is associated with more physical capital and higher employment one year on. During private investment accelerations, output rises, and TFP growth surges. Packages of reforms are more likely to trigger private investment accelerations.

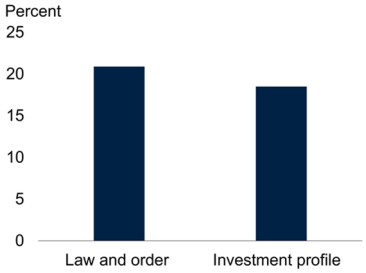
A. Effect of a 1 percent of GDP increase in public investment on private investment



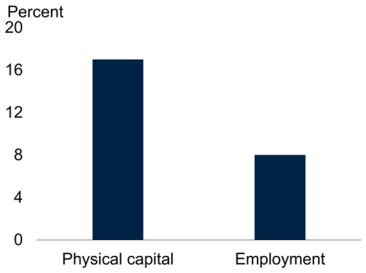
B. Impact of major structural reforms on private investment in EMDEs



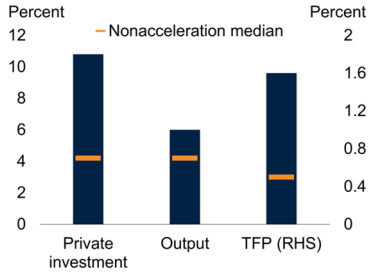
C. Effects of an improvement in institutions on FDI inflows in EMDEs



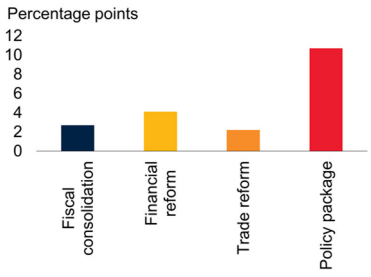
D. Impact of bond or stock issuance on firms' outcomes



E. Investment, output, and productivity growth during accelerations in EMDEs



F. Change in the probability of a private investment acceleration after reforms



Sources: Adarov (2025); Alesina et al. (2024); Chinn and Ito (2008); Feenstra, Inklaar, and Timmer (2015); Haver Analytics; Investment and Capital Stock Dataset (IMF 2021); Meh and Schmukler (2025); PRS Group, International Country Risk Guide (ICRG) (database); Stamm and Yu (2024); World Development Indicators (database); World Bank.

Note: AEs = advanced economies; EMDEs = emerging market and developing economies; FDI = foreign direct investment; LICs = low-income countries; RHS = right-hand scale; TFP = total factor productivity.

A. Panel shows cumulative response to a shock in year *t* relative to year *t* = -1; *t* = 0 is the year of the shock. Shaded areas indicate 90 percent confidence bands. Sample includes up to 129 EMDEs.

B. Line shows the cumulative increase in private investment, in percent, following a reform. The shaded area shows 90 percent confidence bands. The reform indicator is the average sum of domestic and external financing, trade, and product market reform indicators. Sample includes 61 EMDEs.

C. Bars show marginal effects on FDI inflows of an increase from the sample median to the top quartile of ICRG law and order and investment profile indexes, based on gravity model estimates.

D. Bars show the change in physical capital and employment one year after issuance of bonds or stocks in capital markets in a global sample, taken from Meh and Schmukler (2025).

E. Bars and markers show medians. Sample includes 68 EMDEs, spanning 85 private investment accelerations in EMDEs and 155 in total between 1960 and 2019. Identification of episodes follows Stamm and Yu (2024).

F. Sample includes 68 EMDEs and 35 AEs, spanning 155 private investment accelerations (85 in EMDEs). Bars show the increase in the probability of a private investment acceleration following an improvement in economic policy by 1 standard deviation. Right bar shows the increase when all economic policies are improved.

reforms. In addition, there were enhancements to domestic financial markets, as well as reforms to enhance the business environment. Macroeconomic reform, structural measures, and relative political stability may all have helped set the stage for higher private investment.

- **India** experienced an investment acceleration between 1994 and 1999, and again between 2004 and 2012, with private investment growing faster than public investment in both cases. These acceleration phases followed on from a range of liberalizing reforms to trade and the capital account

BOX 1.2 Unlocking private investment (*continued*)

in the 1990s. Many public sector monopolies were also dismantled, creating opportunities for the private sector and opening international trade and investment.

- **The Republic of Korea** had investment acceleration periods from 1985 to 1996, and again from 1999 to 2007, with private investment growth 8.3 percentage points higher on average during these episodes (although the period in between saw a recession linked to the Asian financial crisis). Macroeconomic stabilization policies and comprehensive reforms to liberalize trade, capital markets, and foreign investment supported these surges in investment, delivered as part of a wider long-term growth strategy.
- **Türkiye** saw an investment acceleration between 2003 and 2008 (recording double-digit private investment growth on a per capita basis) and another between 2010 and 2014 (albeit with more modest private investment growth). Macroeconomic stabilization, including in response to the 2000–01 economic crisis, together with structural reforms including trade liberalization, financial sector strengthening, and labor and product market reforms, helped underpin the initial acceleration episode.

Conclusion

Private investment is central to delivering sustained output growth and job creation, which in turn underpin development prospects. Yet even as investment needs rise, and with many EMDEs facing a backdrop of demographic pressures and a major jobs challenge, private investment growth has slowed. Case studies highlight that addressing constraints to private sector investment is possible but requires concerted policy action. Effective strengthening of macroeconomic stability is a common enabling factor. Ensuring that foundational infrastructure is in place to support private sector expansion and advancing structural reforms to improve the business environment and facilitate the development of well-functioning financial markets are important contributors. Coherent and coordinated reforms, tailored to country circumstances, increase the likelihood of a sustained boost in private investment. The extent to which policy makers can reverse weakening private investment growth and sustainably mobilize private capital will be pivotal in shaping job creation and development outcomes in the years ahead.

sharp declines in ODA, and constrained fiscal space, which continue to weigh on investment and medium-term growth (Chapter 3; OECD 2026a).

In all, the challenging global environment will likely hurt living standards in LICs, with the effects of the conflict leading to a downgrade in LICs' growth by 0.3 percentage point to 5.4 percent in 2026, offsetting positive factors such as reduced internal hostilities, better-than-expected agricultural output, and resilient global trade. Growth forecasts are projected to diverge between LICs in FCS and other LICs. Growth in LICs in FCS is projected at 4.9 percent in 2026, a downgrade of 0.1 percentage point, which assumes that improvements in security conditions in some economies offset substantially weaker growth in others. Meanwhile, growth in LICs not in FCS, many of which tend to be more reliant on food and energy imports, has been downgraded by 0.4 percentage point to 6.3 percent in 2026. Over 2027–28, growth across LICs is anticipated to firm slightly, to an average of 5.5 percent, as the impact of the conflict abates and trade and external demand pick up.

The outlook for LICs remains uncertain, and risks are tilted to the downside. A prolonged or escalating Middle East conflict represents the key near-term risk, with the potential to further raise energy and food prices, intensify inflationary pressures, and strain already limited fiscal space. Should the recent Ebola outbreak in the Democratic Republic of Congo and Uganda worsen, it could further intensify already fragile public health and humanitarian situations, as well as damage economic activity. Such shocks could exacerbate food security through higher prices, weaker growth, and eroding real incomes, especially for vulnerable households. They would also further compound

existing vulnerabilities, including slow progress on debt restructuring, delayed structural reforms, domestic conflict, and exposure to weather-related shocks.

Per capita income growth

Against a backdrop of sharply higher energy prices, development progress in many EMDEs is slowing, with mounting pressures on living standards and poverty reduction. The capacity of many governments to respond remains constrained: fiscal space in many vulnerable country groups was already depleted by the pandemic, and declining ODA is compounding these pressures further. Net ODA fell by 23 percent in 2025 in real terms—the largest annual drop on record—and is expected to decline further, stripping away one of the last remaining buffers that countries depend on to sustain schools, health care, and food assistance programs (OECD 2026a). For the most vulnerable populations, this erosion of public services translates into higher risks of child malnutrition, maternal mortality, and other preventable health outcomes associated with rising poverty (da Silva et al. 2026).

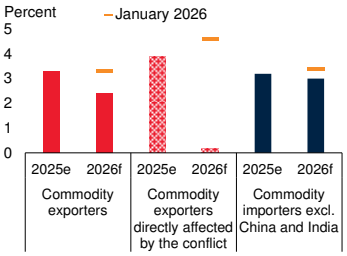
In 2026, per capita income growth in EMDEs is projected to slow by 0.7 percentage point to 2.7 percent—the weakest pace since the pandemic—in part due to eroding purchasing power as households face higher fuel and food prices. With China and India excluded, EMDE per capita income growth is anticipated to fall to 1.3 percent, with many economies in the Middle East, North Africa, Afghanistan, and Pakistan (MNA) region suffering a sharp decline. The slowdown is expected to be even more pronounced in FCS economies, many of which are LICs, where per capita income growth is projected to decelerate to about zero percent in 2026. Over 2027–28, average per capita income growth is projected to recover to 3.2 percent across EMDEs, 2.1 percent in EMDEs excluding China and India, and 2.7 percent in FCS economies.

Nevertheless, the recovery over 2027–28 is anticipated to be uneven across and within countries, and unlikely to be sufficient to reverse the deterioration in living standards already underway. The level of per capita income across EMDEs excluding China and India, relative to advanced economies, is not expected to return to the pre-pandemic level until after 2028, implying nearly a decade of lost income convergence (figure 1.9.A). Prospects are particularly bleak for FCS economies, where per capita income is projected

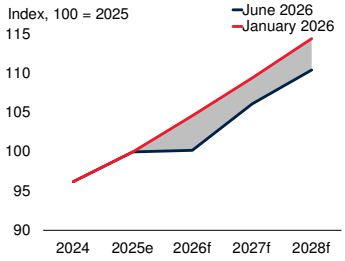
FIGURE 1.8 Outlook for emerging market and developing economies

The EMDE outlook has deteriorated, reflecting headwinds from higher energy prices, elevated uncertainty, and tighter monetary conditions. EMDEs directly affected by the conflict in the Middle East are expected to face the sharpest slowdown, due to the destruction of energy infrastructure and the disruption of energy exports, leading to protracted output losses. By contrast, the moderation in commodity-importing EMDEs excluding China is expected to be less pronounced. The adverse effects of the conflict are envisaged to be more pronounced in the roughly one-quarter of EMDEs with weak sovereign-credit ratings, as higher commodity prices add to already strained financial positions.

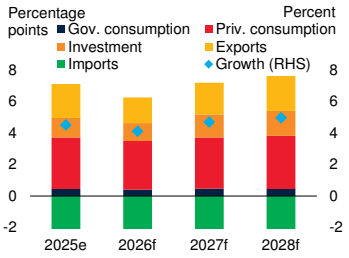
A. GDP growth in EMDEs, by country group



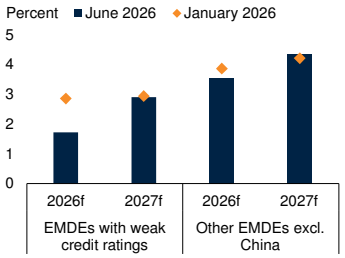
B. Anticipated output loss in EMDEs directly affected by the conflict



C. Contribution to growth in commodity-importing EMDEs excluding China



D. Growth in EMDEs with weak credit and others



Sources: Moody's Analytics; World Bank.

Note: e = estimate; f = forecast. EMDEs = emerging market and developing economies; excl. = excluding; Gov. = government; Priv. = private; RHS = right-hand scale.

A. Panel shows projected annual GDP growth by group. Aggregate growth rates are calculated using GDP weights at average 2010–19 prices and market exchange rates. Bars show the projected growth rate reported in the current edition of the *Global Economic Prospects* report; yellow markers show the projected growth rate in the January 2026 report.

B.D. "June 2026" and "January 2026" refer to the forecasts in the associated editions of the *Global Economic Prospects* report.

B. Panel shows the level of real GDP indexed to 100 in 2025. The January and June 2026 projections use country-level forecasts for six EMDEs directly affected by the conflict in the Middle East. For the January 2026 projection, the trend for 2028 was extended using 2027 growth rates. Shaded area indicates output loss. EMDEs directly affected by the conflict include Bahrain, Iraq, Kuwait, Qatar, Saudi Arabia, and the United Arab Emirates. Associated growth forecasts for this group of economies exclude the Islamic Republic of Iran and Lebanon because of a high degree of uncertainty.

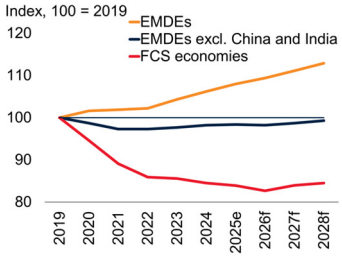
C. Panel shows the projected annual GDP growth and contributions of subcomponents. Discrepancies between GDP growth and the sum of its components are explained by inventories and statistical residuals.

D. Blue bars (red markers) represent forecasted growth by country group. The weak credit ratings sample includes up to 26 EMDEs with sovereign bond rating grades at CCC+/Caa1 and below.

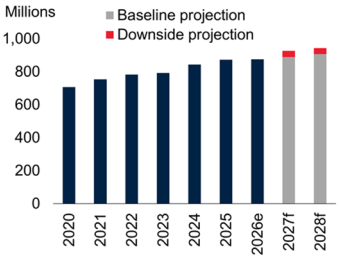
FIGURE 1.9 Per capita income growth

Prospects for per capita income convergence remain weak, pointing to nearly a decade of lost ground for EMDEs. Reflecting both the lingering effects of conflict and subdued growth, per capita income levels in EMDEs excluding China and India are not expected to regain their 2019 relative position compared with advanced economies before 2028. The outlook is particularly challenging for economies in fragile and conflict-affected situations (FCS), where setbacks to convergence are projected to be even more pronounced. With income growth prospects remaining weak and food and fertilizer price pressures related to the conflict rising, food insecurity is set to intensify, potentially reaching a new high.

A. Level of per capita GDP as a share of advanced economies



B. Number of people experiencing severe food insecurity



Sources: UN World Population Prospects (database); World Bank; World Food Security Outlook (database).

Note: e = estimate; f = forecast. EMDEs = emerging market and developing economies; excl. = excluding; FCS = fragile and conflict-affected situations. The FCS country group is based on the current World Bank FCS classification.

A. Lines show per capita GDP by country groups as a share of advanced economies' per capita GDP, indexed to 2019 = 100. GDP per capita is calculated as aggregated GDP divided by the aggregate population and aggregated by country group using real U.S. dollar GDP weights at average 2010–19 prices and market exchange rates.

B. Blue bars show the population facing severe food insecurity. Gray (gray plus red) bars show the World Food Security Outlook's baseline (downside) projection as of April 2026 for 152 EMDEs excluding China.

to remain more than 15 percent below 2019 levels relative to advanced economies by 2028.

These pressures are further undermining efforts to reduce food insecurity and poverty. Amid the lingering effects of the pandemic and several major conflicts, the number of people facing severe food insecurity in EMDEs excluding China rose by around 220 million between 2019 and 2025. This total could rise by a further 35 to 70 million by the end of 2028, as the conflict in the Middle East intensifies an already acute global food crisis in the context of growing food and fertilizer price pressures (figure 1.9.B; World Food Security Outlook 2026). Extreme poverty also remains well above pre-pandemic levels in vulnerable countries and is set to worsen: based on pre-conflict estimates, nearly 60 percent of the population in LICs and about 40 percent in FCS economies are projected to live in extreme poverty by end–2026 (World Bank 2026d).

Global outlook and risks

Global growth is expected to decelerate this year to 2.5 percent as conflict-related energy supply disruptions, higher energy prices, and tighter monetary conditions weigh on growth in advanced economies and EMDEs. In addition, economies directly affected by the conflict are seeing significant and broad disruptions to energy production. Despite the already downbeat outlook, risks are tilted firmly to the downside (figure 1.10.A). Weaker growth outcomes could result if the conflict or its aftermath evolves such that disruptions to global commodity flows are more severe or protracted than envisaged in the baseline. This could reflect increasing conflict-related damage to essential energy production infrastructure, or prolonged impediments to shipping from the Middle East. These or other triggers could also give rise to a sharp tightening of financial conditions, which would undercut global demand.

Risks to the outlook

Downside risks

Prolonged or escalating geopolitical stress

The conflict in the Middle East has led to closures of crucial shipping routes and extensive economic disruptions, including attacks on critical infrastructure in the region (figure 1.10.B). Adverse global consequences are mounting amid sharply higher oil, natural gas, and fertilizer prices and spreading shortages of fuel and various industrial inputs. The baseline assumes a relatively short-lived spell of acute disruptions to commodity production and trade in the Gulf region, with economic consequences outside the Middle East limited to a spell of elevated inflation and reduced activity.

However, a range of considerably more adverse outcomes is possible, with major implications for commodity markets, activity, and inflation globally. A resumption of hostilities could result in more damage to essential energy infrastructure, curtailing oil, LNG, and fertilizer supplies over the medium term and driving prices persistently higher. In addition, shipping in the Middle East could be impaired for an extended period, also resulting in lasting commodity price increases and

prolonged uncertainty. Beyond the region directly affected by the conflict, large net energy importers, especially those with fragile sovereign balance sheets, would see a further weakening in the growth outlook.

More broadly, the conflict in the Middle East is the latest in a series of large geopolitical shocks that have roiled the world economy over the 2020s, with geopolitical tensions rising unabated. Against this backdrop, the potential for further geopolitical ruptures in the next few years cannot be discounted, raising the possibility of further disruptive supply shocks. As the effects of these events compound over time, escalating geopolitical stress may weaken international trade and financial integration, weighing on business sentiment, investment, and ultimately productivity globally.

Tighter global financial conditions

Generally benign financial conditions and buoyant investor sentiment were key to supporting growth last year, offsetting some of the adverse impacts of trade policy shifts. At the outset of the conflict in the Middle East, financial conditions tightened, as risk-off sentiment took hold in financial markets, although conditions eased following the implementation of the ceasefire.

An additional sharp tightening in financial conditions remains a substantial risk. Rising global inflationary pressures driven by energy price increases could lead to expectations of higher policy rates and even higher bond yields (figure 1.10.C). Fiscal vulnerabilities in major economies could become more pronounced amid elevated public debt levels and large fiscal deficits, potentially pushing up term premiums and leading to disorderly movements in bond markets.

Moreover, periodic bouts of financial market volatility in response to conflict-related developments could lead to a broader retrenchment in risk appetite and a reassessment of asset prices. This may include equity valuations of AI-focused companies in the context of so-far-limited productivity gains despite substantial investments in computing power. Broad-based declines in equity markets and higher yields would dampen business investment and consumption.

Resurgent trade tensions and trade policy uncertainty

Even as trade tensions have abated somewhat following the U.S. Supreme Court ruling, uncertainty around trade policy remains elevated for several reasons. First, the U.S. administration signaled its intent to reinstate tariffs using a different legal basis, which is likely to introduce further uncertainty around the exact levels of tariffs imposed on particular products and countries. Second, elevated geopolitical tensions and competition for markets and strategic resources among major economies are likely to continue to spill over into international trade relations, resulting in further trade policy uncertainty.

A resurgence of trade barriers, compounded by heightened uncertainty, threatens to undermine business confidence and stifle investment, particularly within sectors integrated into global supply chains. Given that investment-related goods possess a high import content, such constraints further diminish international trade volumes. These shifts are likely to disproportionately affect the economic growth of jurisdictions implementing these barriers, as well as export-dependent EMDEs. Furthermore, the long-term persistence of trade restrictions may impede productivity growth by obstructing the international diffusion of technological advancements.

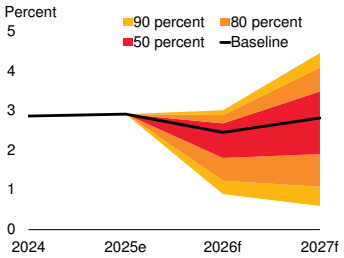
Weather-related natural disasters

The rising frequency and intensity of natural disasters pose growing risks to lives, livelihoods, and the global economy and are expected to intensify further with global warming (figure 1.10.D). Global temperatures are continuing to rise, setting the stage for further increases in the incidence of weather-related disasters, including in the context of more severe El Niño weather events. Beyond the tragic losses of life, extreme weather events generate immediate economic losses by damaging physical capital and generating disruptions to labor markets and economic activity more broadly. Although estimates of their economic costs vary, ample evidence shows that such events significantly depress economic performance on impact and leave output on a persistently lower trend (Cavallo, Becerra, and Acevedo 2022).

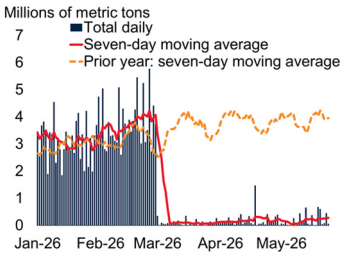
FIGURE 1.10 Risks to the outlook

Risks are tilted firmly to the downside, largely because of the possibility of the prolongation or escalation of the conflict in the Middle East, which has already led to closures of crucial shipping routes and economic disruptions. Rising global inflationary pressures driven by high energy prices could lead to expectations of higher policy rates and even higher bond yields. The rising frequency and intensity of natural disasters pose growing risks to lives, livelihoods, and the global economy. A downside scenario that includes further energy market stress would raise global inflation by 0.5 percentage point in 2026 relative to the baseline and lower growth by up to 0.4 percentage point. An even more adverse scenario that also includes financial stress would result in markedly weaker growth.

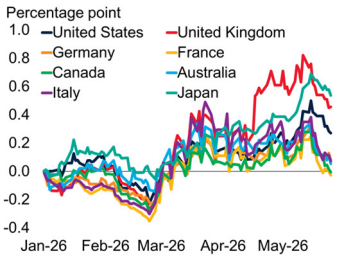
A. Probability distribution around global growth forecasts



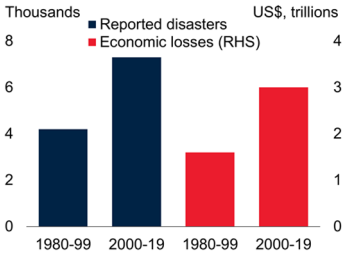
B. Shipping through the Strait of Hormuz



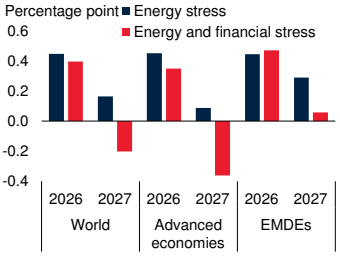
C. Change in 10-year government bond yields



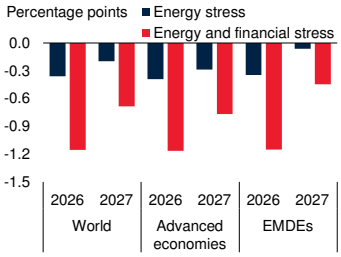
D. Natural disasters and their impacts



E. Change in inflation in alternative scenarios



F. Change in growth in alternative scenarios



Sources: Arslanalp, Koepke, and Verschuur (2021); Bloomberg; Consensus Economics; Goldman Sachs; Haver Analytics; IMF PortWatch; Ohnsorge, Stocker, and Some (2016); Oxford Economics; CRED and UNDRR (2020); World Bank.

Note: e = estimate; f = forecast. EMDEs = emerging market and developing economies; RHS = right-hand scale.

A. Probabilities use the range and skewness implied by oil and equity price derivatives, and term spread forecasts. Values for 2026-27 use 6-month- and 18-month-ahead forecast distributions, with data up to May 29, 2026.

B. Panel shows the estimated trade volume carried by ships transiting through the Strait of Hormuz through May 24, 2026.

C. Panel shows the change in 10-year government bond yields since January 5, 2026. Last observation is May 29, 2026.

D. Panel shows the number of reported disaster events and total economic losses from 1980 to 1999, and 2000 to 2019. Refer to the human costs of disasters (UNDRR 2020).

E.F. Panel shows the deviation of aggregate inflation (panel E) and growth (panel F) in scenarios produced using Oxford Economics' Global Economic Model.

Weather-related disasters can weaken investment, reduce trend productivity growth, hinder human capital accumulation, and compound food insecurity.

These risks are particularly acute in EMDEs, which are more exposed to extreme events and often constrained by limited institutional capacity (Bettin, Jallow, and Zazzaro 2024). The impact of extreme weather events can be mitigated by introducing early-warning systems, raising preparedness at relevant government agencies, and designing effective safety nets.

In the aftermath of natural disasters, governments of affected countries are faced with an urgent need to provide humanitarian assistance and begin reconstruction, which can impose substantial fiscal costs. The ongoing decline in foreign aid for the most vulnerable countries and the increasing difficulty in mobilizing international support in the context of burgeoning geopolitical tensions could leave economies impacted by natural disasters in weak fiscal positions and could hinder support to affected populations.

Growth outcomes under alternative downside scenarios

In the baseline, the most acute supply disruptions related to the conflict in the Middle East end relatively soon, even if global economic activity decelerates notably this year. The crystallization of downside risks could result in a markedly steeper decline in global growth. The most prominent downside risks are quantified in two graduated scenarios using a global macroeconomic model.[3]

Energy stress scenario

If the Strait of Hormuz is effectively closed to shipping for longer than assumed in the baseline, or if energy production capacity in the Middle East is further degraded, energy prices may far exceed the baseline projections. In this scenario of further energy stress, the Strait does not meaning-

[3] These simulations are conducted using the Oxford Economics Global Economic Model, a semi-structural macroeconomic projection model that includes 188 individual country blocks in its extended version, available at quarterly or annual frequencies (Oxford Economics 2019).

fully reopen until the fourth quarter of 2026, with shipping volumes gradually recovering through the first quarter of 2027. In addition, there is a medium-term reduction of at most 4 percent in global oil supply capacity. Increased energy supply stress causes the Brent oil price to surge anew in the second half of the year, averaging $115/bbl in 2026 and remaining elevated well into 2027. Amid prolonged LNG scarcity, natural gas prices would also far exceed the baseline projections, with additional upward pressure on prices for coal as a substitute for natural gas.

The direct effects of the energy price shock alone would substantially increase inflation and curb real income growth and global demand in 2026. In addition, extensive disruptions to fertilizer trade and generally more expensive production inputs would increase cost-push pressures for food and other essentials. With oil inventories rapidly depleting, balancing global oil markets would require oil and oil products consumption to fall via potentially disruptive channels, with reverberations through global supply chains. Given the extent and duration of price pressures, major central banks would likely raise policy rates this year, also weighing on growth.

In all, GDP-weighted global inflation would be expected to average 4.5 percent in 2026—exceeding the baseline by about 0.5 percentage point (figure 1.10.E). Global GDP growth would fall to 2.1 percent this year, 0.4 percentage point below the baseline, with EMDE growth 0.3 percentage point lower than in the baseline (figure 1.10.F). The impacts of the shock would be pronounced in both EMDE commodity importers and, because of the protracted trough in Gulf-region exports, some key EMDE commodity exporters.

Energy and financial stress scenario

In the energy and financial stress scenario, risk appetite in financial markets is severely undermined by the outsized energy shock outlined in the scenario above. As a result, the renewed surge in oil prices—to an average of $115/bbl this year—is accompanied by a sharp fall in global equity prices, sustained increases in equity market volatility, and a persistent decline in consumer and business confidence. Alongside this, corporate bond spreads would likely widen, with the U.S. dollar strengthening. Pervasive risk-off sentiment and current account pressures in energy importers could induce capital flight, driving EMDE risk premiums higher.

The combined effects of energy market stress and widespread financial strains would result in much weaker growth outcomes than in the baseline scenario. If equity market volatility (proxied by the Chicago Board Options Exchange Volatility Index, or VIX index) were to approach its 2020 peak in mid-2026 before gradually normalizing, accompanying the steep increase in oil prices and trough in confidence, global GDP growth would fall to just 1.3 percent in 2026, undershooting the baseline by 1.2 percentage point.

Compared with the energy stress scenario, the addition of financial stress would reduce growth in EMDEs by a further 0.9 percentage point in 2026, to 1.2 percentage point below the baseline, leaving growth at just 2.4 percent this year. Global inflation would be slightly lower than in the energy stress scenario, reflecting softer demand, but still 0.4 percentage point higher than in the baseline in 2026.

Upside risk

Technology-led investment and productivity gains

Despite subdued private investment across EMDEs as a group, growth in AI has heralded a boom in private investment in some economies and led to spillovers through increased trade in related goods. As the race to build superior AI technology continues, the corresponding investment in areas such as software, ICT equipment, and data centers may broaden to more geographies. Demand for upstream commodities and components could strengthen further, lifting exports in a wide range of economies that are directly or indirectly embedded in AI-related supply chains.

Over the medium to long term, the expanding use of AI may raise productivity in an increasing number of economies and trigger broader technological breakthroughs, supporting growth and

productivity globally. Even for EMDEs where full-scale AI adoption remains out of reach, small-AI solutions—for example, task-specific applications that run on local devices with little or no internet connectivity—can help deliver meaningful productivity gains (World Bank 2026e).

Nevertheless, any productivity gains from AI adoption may be limited in some EMDEs on account of adjustment costs or slow diffusion because of inadequate digital infrastructure and an inadequate AI ecosystem. In addition, the impact on overall growth could be offset by potential labor displacement in some sectors.

Policy challenges

Policy makers face formidable challenges. Stronger global cooperation is needed to mitigate food insecurity and deepen trade amid geopolitical strains, as well as advance the energy transition. Domestically, EMDE central banks need to balance price stability with support to growth while managing currency pressures and financial volatility. On the fiscal side, higher energy costs and tighter monetary conditions are increasing deficits and debt, particularly in commodity exporters where fiscal policy is constrained by reliance on resource revenues and weak tax systems. At the same time, rapid population growth and technological change are intensifying the jobs challenge in EMDEs. Subdued private investment is further limiting job creation and constraining long-term growth.

Key global challenges

Mitigating food insecurity amid geopolitical stress

Even prior to the Middle East conflict, food insecurity was rising. As of 2025, the share of the global population in severe food insecurity stood at about 12 percent, roughly 2 percentage points above the pre-pandemic level in 2019 (UN World Population Prospects 2024; World Food Security Outlook 2026). The increase was concentrated in FCS economies, especially many of those still below their pre-pandemic income levels as a result of higher incidence of conflict and more frequent natural disasters.

The conflict is likely to further exacerbate the challenge of food insecurity. Higher shipping costs and longer travel routes for a significant volume of food aid intensify the financing strains on international aid organizations, many of which have faced funding cuts (WFP 2026). Reduced fertilizer use in the current planting season because of higher fertilizer prices could result in lower crop yields and tighter food supplies in the second half of 2026 and into 2027. Sub-Saharan Africa (SSA) and lower-income economies in Asia are particularly vulnerable, given their heavy reliance on energy and fertilizer imports and as planting seasons in many cases coincide with the period of elevated input costs. The possible emergence of strong El Niño weather conditions in the second half of 2026 could further strain agricultural supplies.

Coordinated global action is critical to mitigating these challenges. To address the urgent needs of countries most adversely affected by conflict-related disruptions, global policy makers need a clear roadmap to bolster emergency food aid mechanisms alongside efforts to establish humanitarian corridors to facilitate the movement of aid and commercial fertilizers.

Over the longer term, shoring up food security will require sustained investment across several fronts. These include scaling up sustainable and resilient agriculture, expanding rural infrastructure such as storage facilities and last-mile transport networks, diversifying supply sources of fertilizers, and deploying robust early warning systems for extreme weather. International partners and development institutions can play a critical role by increasing concessional financing while actively de-risking private investment through blended finance structures and guarantees, alongside the provision of technical assistance, particularly in FCS economies where food insecurity is most acute and institutional capacity is often most constrained.

Diversifying and deepening trade and economic partnerships

Amid heightened trade tensions and geopolitical strains, concerted efforts are needed to bolster a predictable multilateral trading system. Clear multilateral rules, such as the most-favored-nation

principle, serve a crucial role by providing a stable, nondiscriminatory framework for trade negotiations among countries (Staiger 2026). Such a framework facilitates large-scale as well as deep trade agreements that address a wide range of issues, including harmonizing regulations and protecting intellectual property, which are increasingly important to support the fast-growing digital and services sectors.

With multilateralism facing greater challenges, regional trade agreements (RTAs) have emerged as important complements to the broader rules-based trading system. The share of global trade taking place among members of RTAs rose from about 40 percent in 1990 to over 60 percent by 2025 (figure 1.11.A). RTAs can support diversification across partners and products, reducing reliance on narrow export bases. Significant untapped opportunities remain in intraregional trade, which could be unlocked by lowering nontariff barriers and improving border procedures. Realizing further gains will also require narrowing trade finance gaps, including by strengthening the supply chain finance ecosystem to ease liquidity constraints and support participation by small- and medium-sized enterprises (IFC 2021).

In tandem, international investment frameworks need to be modernized to support deeper economic partnerships, such as the reform of the International Investment Agreement regime toward treaties that are more balanced, targeted, and aligned with sustainable development goals. Notably, dedicated and extensive investment facilitation provisions are now being embedded in major regional trade and investment agreements, such as the Regional Comprehensive Economic Partnership and the European Union-Mercosur Partnership Agreement.

Supporting the energy transition

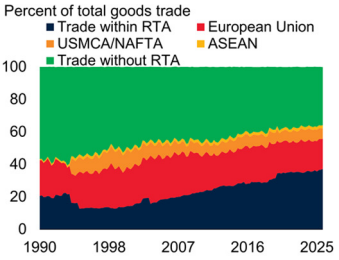
Promoting energy diversification, with renewables rising as a share of the energy mix, is key to addressing environmental challenges while strengthening the global economy's resilience to future energy shocks. A more diversified energy mix can enhance economic stability, and countries should adopt a tailored approach that helps address immediate energy constraints while balancing longer-term structural requirements. In particular, diversification can reduce exposure to energy price fluctuations, reinforce energy independence, and enhance resilience to growing environmental risks (IMF 2026a). As a key pillar of the energy transition, global clean energy investment has increased significantly, surpassing investment in fossil fuels over the last decade and reaching an estimated $2.2 trillion last year, led by investments in renewable power as well as energy efficiency and end-use electrification. Nearly 70 percent of the increased spending on clean energy over the past five years has been from net-fossil-fuel importers seeking to strengthen energy security (IEA 2025).

Nevertheless, the pace of clean energy investment growth has slowed, from a peak of 17 percent in 2022 to an estimated 6 percent in 2025 (figure 1.11.B). Higher borrowing costs and inflationary pressures in recent years, infrastructure bottlenecks in connecting renewable energy projects to grids, and policy shifts have contributed to this slowdown (IEA 2026). Moreover, clean energy invest-

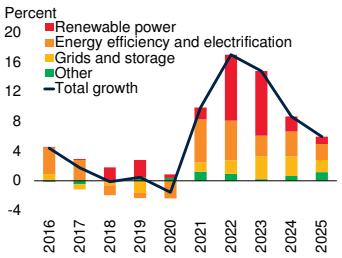
FIGURE 1.11 Global policy challenges

Amid heightened trade barriers and geopolitical strains, regional trade agreements (RTAs) have emerged as key complements to the global rules-based system. The share of global trade within these agreements increased from about 40 percent in 1990 to more than 60 percent by 2025. Meanwhile, accelerating the energy transition is key to addressing environmental and energy security challenges. Although clean energy investment growth experienced a marked increase after the pandemic—especially investment in renewable power as well as energy efficiency and electrification—the pace of growth has slowed in recent years.

A. Goods trade by trading blocs



B. Drivers of global clean energy investment growth



Sources: Egger and Larch (2008); International Energy Agency; IMF International Merchandise Trade Statistics (IMTS); World Bank.

Note: ASEAN = Association of Southeast Asian Nations; NAFTA = North American Free Trade Agreement; RTA = regional trade agreement; USMCA = United States–Mexico–Canada Agreement.

A. Panel shows the shares of nominal trade among countries that are members of different RTA blocs and among country pairs without trade agreements ("Trade without RTA"). "Trade within RTA" refers to trade within RTAs other than the European Union, USMCA/NAFTA, and ASEAN. Last observation is 2025Q4.

B. Line shows global investment growth in clean energy. Bars show the contributions to growth of clean energy subcomponents. "Other" includes low-emission fuels and nuclear and other clean power. 2025 values are estimated.

ment remains unevenly distributed. While some large EMDEs have made significant progress in recent years, including China, which accounts for almost one-third of the global clean energy investment share, smaller EMDEs—especially those in SSA—face challenges in mobilizing capital for clean energy infrastructure. The conflict in the Middle East reinforces the urgency to diversify energy sources.

The global policy community can support the transition by expanding development finance and improving access to affordable capital, particularly in EMDEs where high upfront costs and financing constraints remain major barriers (World Bank 2023). This includes scaling up concessional financing, strengthening domestic financial systems, and supporting the development of energy infrastructure such as grids and storage to facilitate the effective integration of renewable capacity. International organizations can also help mobilize private capital by reducing investment risk, including through mechanisms such as blended finance.

EMDE monetary and financial policy challenges

EMDE central banks face a difficult balancing act as they assess the conflict's implications for commodity and financial markets, inflation, and growth, especially given the rising share of EMDEs with above-target inflation (figure 1.12.A). Many will need to balance support for economic activity and tolerance for higher headline inflation against the risk of a de-anchoring of inflation expectations, as excessive easing could erode credibility. In EMDEs facing currency depreciation pressures, these trade-offs can be compounded by the risk of imported inflation. Clear communication of central banks' risk management approach and contingent policy responses can support policy transmission and limit disruptive movements in interest rate risk premiums (Cieslak, Hansen, and Pang 2025).

Central banks will also need to monitor the uncertain implications of the ongoing AI expansion for inflation and monetary policy (figure 1.12.B). In the near term, AI-driven investment is expected to support activity in economies where rapid adoption is concentrated. Investment in AI is boosting demand for semiconductors, energy, and other key inputs, supporting exports in various EMDEs while adding to broader cost pressures. Over the medium term, AI-related productivity gains may exert downward pressures on prices in some EMDEs as adoption becomes more widespread. Uneven AI adoption across countries could generate divergent productivity dynamics, terms-of-trade shocks, and headwinds for EMDEs that export business services. These effects will need to be incorporated into central bank projections and risk assessments for inflation, economic activity, and labor markets.

Recent financial market volatility underscores the need for prudential authorities to remain attentive to financial stability risks from sharp asset repricing or abrupt shifts in risk appetite. Heightened uncertainty and geopolitical stress could trigger capital outflows and exert pressure on EMDE currencies, underscoring the importance of adequate foreign reserves buffers (Rodnyansky, Timmer, and Yago 2026). This warrants close vigilance, underpinned by sound prudential standards and robust supervision of financial institutions (including nonbanks) to minimize the impact of adverse shocks, sovereign-bank nexus risks, as well as AI-related cybersecurity risks to financial systems.

EMDE fiscal policy challenges

The conflict in the Middle East is adding to fiscal pressures in EMDEs, particularly in energy importers, as higher energy prices prompt fiscal support measures and tighter monetary conditions raise debt-servicing costs. In some MNA economies, repairing damaged infrastructure and sustaining military defense systems are adding further strain to public finances (World Bank 2026f). Fiscal deficits in EMDEs are expected to widen in 2026, especially among energy importers, where median deficits are projected to rise to 3.5 percent of GDP before easing only modestly thereafter (figure 1.12.C). Against this backdrop, in EMDEs excluding China, government debt as a ratio of GDP is projected to continue rising. Higher debt-service burdens are increasingly

diverting resources away from infrastructure, public services, and other development priorities needed to support private sector growth and job creation. When debt levels are high, borrowing costs tend to rise disproportionately, having the potential to push debt-service costs above the returns to public investment and underscoring the urgent need to mobilize private investment (figure 1.12.D; chapter 3).

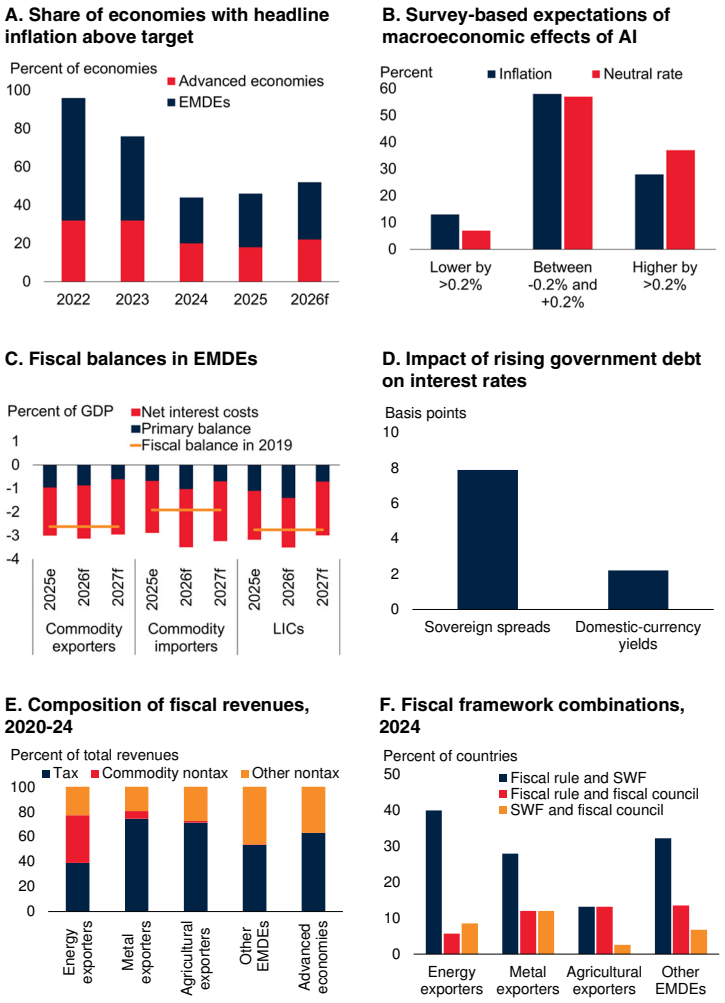
LICs faced rising debt vulnerabilities even before the conflict, as debt had shifted toward greater reliance on non-concessional and short-term borrowing. Interest payments on total public debt in LICs have more than doubled over the past decade (IMF and World Bank 2025). Refinancing risks are also rising, with roughly half of LICs' outstanding sovereign bonds scheduled to mature by 2028 (OECD 2026b).

Rebuilding fiscal space and catalyzing private investment and job creation require stronger domestic revenue mobilization and more effective public spending. Broadening the tax base, strengthening tax administration, reducing exemptions, and selectively increasing tax rates can help raise government revenues (IMF and World Bank 2024a). This is particularly relevant for commodity-exporting EMDEs, especially energy exporters, where reliance on resource revenues has contributed to fiscal procyclicality and heightened debt vulnerabilities following adverse commodity price shocks (figure 1.12.E; chapter 4). Reducing informality and supporting formal job creation can also expand the tax base, while selective excise taxes on products with adverse health impacts could raise additional revenues and help reduce future health-related fiscal pressures. On the expenditure side, improving the efficiency of government services, consolidating spending, and replacing broad-based subsidies with better-targeted support for vulnerable populations can free up fiscal resources.

Institutional reforms can further strengthen fiscal credibility and sustainability. Medium-term budget frameworks, fiscal rules, and independent fiscal councils can help anchor fiscal policy and lower debt-servicing costs. Many commodity exporters have adopted a combination of fiscal

FIGURE 1.12 EMDE monetary and fiscal policy challenges

EMDE central banks face a delicate policy trade-off as energy price pressures mount and the share of economies with above-target inflation rises. Uncertainty about the AI boom's impact on inflation adds further complications. Recent geopolitical tensions are compounding fiscal pressures across EMDEs. Fiscal deficits are expected to widen further, with the increase driven by high debt-servicing costs. Rising EMDE government debt levels may push up interest rates, crowding out resources for public investment and broader development priorities. Boosting domestic revenue mobilization is a key priority, particularly in energy exporters. Many commodity exporters use a combination of fiscal rules, SWFs, and fiscal councils to manage revenue volatility.



Sources: Alonso et al. (2025); Consensus Economics; Financial Times-Chicago Booth survey; Global SWF (database); Haver Analytics; International Monetary Fund (IMF); World Bank; Zhang (2025).

Note: e = estimate; f = forecast. AI = artificial intelligence; EMDEs = emerging market and developing economies; LICs = low-income countries; SWF = sovereign wealth fund.

A. Bars show the share of economies with headline inflation above target, based on average monthly year-on-year inflation. 2026 data are from May 2026 Consensus Economics surveys. Sample includes 16 advanced economies and 34 EMDEs.

B. Bars show the share of responses to the Financial Times-Chicago Booth survey on the likely effects of the AI boom on Personal Consumption Expenditure (PCE) inflation and the neutral real interest rate over the next two years. Numbers may not sum to 100 because of rounding.

C. Median fiscal balance for up to 152 EMDEs, by country group. Horizontal lines represent the pre-pandemic (2019) fiscal balance. Data are from the IMF's *World Economic Outlook* (April 2026).

D. Panel shows the estimated effect on interest rates of a one-percentage-point rise in the government debt-to-GDP ratio, based on a linear panel data regression.

E. Sample includes 90 commodity-exporting EMDEs (34 for energy, 22 for metals, and 34 for agriculture), 58 other EMDEs, and 38 advanced economies. Commodity nontax revenues include direct revenue from extractive activities. Other nontax revenues include social contributions, grants, and other miscellaneous types of revenue.

F. Sample of EMDEs includes 35 energy exporters, 24 metal exporters, 35 agricultural exporters, and 59 other EMDEs.

rules, sovereign wealth funds, and fiscal councils to manage the complex fiscal challenges stemming from commodity revenue volatility (figure 1.12.F). Strengthening debt management, including extending debt maturities and improving debt transparency, can also help mitigate rollover risks and safeguard fiscal sustainability (World Bank 2025b).

Because these efforts take time to yield results, they will need to be complemented by concessional financing and continued progress in debt restructuring frameworks, including through the G20 Common Framework for countries in or at high risk of debt distress (IMF 2025, 2026b; IMF, World Bank, and G20 Presidency 2026). In some cases, debt-for-development swaps could create fiscal space for growth-enhancing investments while supporting debt sustainability (IMF and World Bank 2024b).[4] In the near term, fiscal responses to elevated energy costs stemming from the conflict should be temporary and well-targeted to vulnerable households and viable firms.

EMDE structural policy challenges

Creating jobs amid evolving AI impacts and subdued private investment

EMDEs face a historic jobs challenge, with an estimated 1.2 billion young people entering working age over the next decade. At the same time, the labor market effects of generative AI technologies are still unfolding, posing both risks and opportunities of varying degrees depending on whether AI complements or substitutes for workers. Subdued private investment in many EMDEs further constrains firm expansion and the creation of new businesses, and thus job creation capacity.

Most EMDEs currently have a smaller share of jobs potentially affected by generative AI than high-income countries, mainly reflecting differences in industrial structure (Cazzaniga et al. 2024; figure 1.13.A). This lowers the risk of labor dislocations in EMDEs, but it could also slow the diffusion of AI that could support growth and employment. Countries with substantial business services export sectors risk larger indirect disruptions if these tasks are handled by AI. Meanwhile, global AI-related demand could lift employment in some EMDEs through supply-chain linkages, depending on the labor intensity of the affected sectors. As such, the net impact of AI on tradable goods and services sectors across EMDEs is likely to be uneven. A widening digital divide risks constraining growth and job creation in some EMDEs, particularly LICs that already lag in exports of digitally deliverable services—the fastest-growing segment of global trade in middle-income EMDEs over the last decade (figure 1.13.B).

Tackling the jobs challenge requires progress along three mutually reinforcing pillars: (1) investing in physical and human capital; (2) fostering a business-friendly regulatory and legal environment; and (3) mobilizing private capital and investment. This includes scaling up investment in reliable electricity, transport, and digital connectivity, including broadband, mobile networks, and digital public infrastructure (World Bank 2025a; 2025c). Such investments would lower production costs, improve reliability, and facilitate firms' access to suppliers and markets, thereby supporting firm formation and growth. Better infrastructure can also crowd in private investment by improving returns and reducing risks for firms, generating further employment.

EMDEs will equally need to invest in digital skills and broader reskilling programs, particularly for women, youth, and marginalized groups facing affordability and physical infrastructure constraints, restrictive social norms, and low digital literacy (World Bank 2025a, 2025d). Such investments also support broader private sector development, enabling job creation beyond AI-intensive sectors. Small AI solutions that are task-specific applications on local devices can be complementary to EMDE workers and can support growth in job-rich sectors, such as agribusiness, healthcare, tourism, value-added manufacturing, and infrastructure and energy (Dixit and Gill 2023; World Bank 2026e).

[4] Debt-for-development swaps replace existing sovereign debt with arrangements linked to spending commitments for specific development goals, such as nature conservation, climate action, education, or nutrition. For details, refer to the Global Hub on Debt for Development Swaps.

EMDEs also need to strengthen regulatory and institutional frameworks. Greater policy clarity and more predictable regulation can reduce uncertainty, fostering firm entry and encouraging private investment, with substantial improvements in institutional quality being associated with a significant and large boost to foreign direct investment inflows. More broadly, a strong business climate—underpinned by appropriate land use policies, effective contract enforcement, and sound macroeconomic policies—supports sustained private sector expansion and employment growth. Improving access to finance, including local-currency financing, through deeper and more efficient capital markets, particularly for small and medium-sized enterprises, can support private investment, ease constraints on firm entry and expansion, and in turn drive growth and employment at scale.

Bolstering energy security

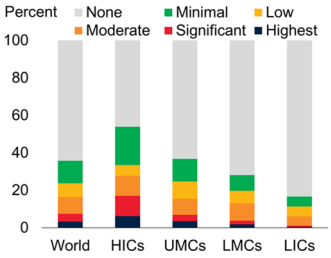
Energy security has become an urgent priority in the context of geopolitical conflicts in recent years, including the conflict in the Middle East. Many energy-importing EMDEs remain structurally vulnerable on account of heavy reliance on a narrow set of energy sources and supply routes, exposing these economies to supply disruptions and price volatility that feed into inflation, current account pressures, and tighter fiscal space. Prolonged price surges can also weigh on productivity, particularly in energy-intensive sectors where energy and capital are strong complements (André et al. 2023).

Diversifying the domestic energy mix and improving energy efficiency can help dampen exposure to global energy price shocks. Robust legal and regulatory frameworks, particularly around land use for renewable generation and transmission infrastructure, as well as well-structured risk mitigation instruments and public-private partnerships can reduce private sector investment costs and spur investment in modernizing grid infrastructure (World Bank 2024d).

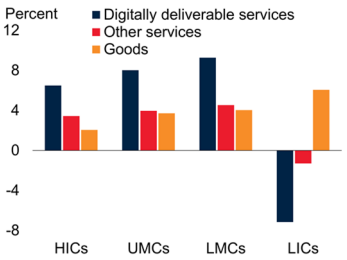
FIGURE 1.13 EMDE structural policy challenges

About 1.2 billion youth will reach working age in EMDEs over the next decade, alongside the direct and indirect effects of AI technologies that are still emerging and pose both risks and opportunities for EMDE labor markets to varying degrees. The share of jobs potentially exposed to AI declines with country income levels, which may insulate some EMDEs from large labor market dislocations but increases the risks of slower pro-growth diffusion of AI and a widening digital divide. The most vulnerable EMDEs already trail well behind in exports of digitally deliverable services, which has been the fastest growing segment of global trade over the past decade.

A. Share of jobs facing different degrees of exposure to generative AI



B. Average annual growth of exports, 2015–24



Sources: Gmyrek et al. (2025); UNCTAD; World Bank.

Note: AI = artificial intelligence; EMDEs = emerging market and developing economies; HICs = high-income countries; LICs = low-income countries; LMCs = lower-middle income countries; UMCs = upper-middle income countries.

A. Panel shows occupational exposure to generative AI by share of employment and country income group. The "minimal" ("highest") level of exposure to AI refers to an occupation with a greater (lower) share of tasks that have low (highest) variability. "None" refers to occupations where AI currently has no observable potential to automate tasks.

B. Panel shows the compound annual growth rates of digitally deliverable services exports, other services exports, and goods exports.

Competitive procurement mechanisms, such as auctions and tenders, can mobilize private financing for renewables at scale and in a cost-efficient manner, though careful design is needed to avoid delays or undersubscription (del Río and Kiefer 2023). Phasing out fossil fuel subsidies and implementing taxes for carbon-intensive practices can further incentivize investment in cleaner and more energy-efficient technologies. Decentralized renewable energy solutions, such as standalone off-grid solar solutions or small-scale grid-connected distributed generation, offer cost-effective means to improve energy access in economies with limited grid capacity and in remote areas (Diallo and Moussa 2020; IEA et al. 2024; Wagner et al. 2021; World Bank 2024e).

TABLE 1.2 Emerging market and developing economies[1]

Commodity exporters[2]		Commodity importers[3]	
Algeria*	Lao PDR	Afghanistan	Somalia, Fed. Rep.
Angola*	Liberia	Albania	Sri Lanka
Argentina	Libya*	Antigua and Barbuda	St. Kitts and Nevis
Armenia	Madagascar	Bahamas, The	St. Lucia
Azerbaijan*	Malawi	Bangladesh	St. Vincent and the Grenadines
Bahrain*	Mali	Barbados	Syrian Arab Republic
Belize	Mauritania	Belarus	Thailand
Benin	Mongolia	Bosnia and Herzegovina	Tonga
Bhutan*	Mozambique	Cambodia	Tunisia
Bolivia*	Myanmar*	China	Türkiye
Botswana	Namibia	Djibouti	Tuvalu
Brazil	Nicaragua	Dominica	Vanuatu
Burkina Faso	Niger	Dominican Republic	Viet Nam
Burundi	Nigeria*	Egypt, Arab Rep.	
Cabo Verde	Oman*	El Salvador	
Cameroon*	Papua New Guinea	Eswatini	
Central African Republic	Paraguay	Georgia	
Chad*	Peru	Grenada	
Chile	Qatar*	Haiti	
Colombia*	Russian Federation*	Hungary	
Comoros	Rwanda	India	
Congo, Dem. Rep.	São Tomé and Príncipe	Jamaica	
Congo, Rep.*	Saudi Arabia*	Jordan	
Costa Rica	Senegal	Kiribati	
Côte d'Ivoire	Seychelles	Lebanon	
Ecuador*	Sierra Leone	Lesotho	
Equatorial Guinea*	Solomon Islands	Malaysia	
Eritrea	South Africa	Maldives	
Ethiopia	South Sudan*	Marshall Islands	
Fiji	Sudan	Mauritius	
Gabon*	Suriname	Mexico	
Gambia, The	Tajikistan	Micronesia, Fed. Sts.	
Ghana*	Tanzania	Moldova	
Guatemala	Timor-Leste*	Montenegro	
Guinea	Togo	Morocco	
Guinea-Bissau	Trinidad and Tobago*	Nauru	
Guyana*	Turkmenistan*	Nepal	
Honduras	Uganda	North Macedonia	
Indonesia*	Ukraine	Pakistan	
Iran, Islamic Rep.*	United Arab Emirates*	Palau	
Iraq*	Uruguay	Panama	
Kazakhstan*	Uzbekistan	Philippines	
Kenya	West Bank and Gaza	Poland	
Kosovo	Yemen, Rep.*	Romania	
Kuwait*	Zambia	Samoa	
Kyrgyz Republic	Zimbabwe	Serbia	

* Energy exporters.

1. Emerging market and developing economies (EMDEs) include all those that are not classified as advanced economies and for which growth data are published for this report. Dependent territories are excluded. Advanced economies include Australia; Austria; Belgium; Bulgaria; Canada; Croatia; Cyprus; Czechia; Denmark; Estonia; Finland; France; Germany; Greece; Hong Kong SAR, China; Iceland; Ireland; Israel; Italy; Japan; the Republic of Korea; Latvia; Lithuania; Luxembourg; Malta; the Netherlands; New Zealand; Norway; Portugal; Singapore; the Slovak Republic; Slovenia; Spain; Sweden; Switzerland; the United Kingdom; and the United States.

2. An economy is defined as commodity exporter when, on average in 2017-19, either (1) total commodities exports accounted for 30 percent or more of total exports or (2) exports of any single commodity accounted for 20 percent or more of total exports. Economies for which these thresholds were met as a result of re-exports were excluded. When data were not available, judgment was used. This taxonomy results in the classification of some well-diversified economies as importers, even if they are exporters of certain commodities (for example, Mexico).

3. Commodity importers are EMDEs not classified as commodity exporters.

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